



# **Nairobi Business Ventures Limited**

## **LISTING STATEMENT**

**3 June 2016**



**NAIROBI BUSINESS VENTURES LIMITED**

Incorporated in Kenya under the Companies Act (Chapter 486, Laws of Kenya)

(Registration Number CPU/2015/187285)

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## **Listing Statement**

In respect of:

The Listing by Introduction on the Growth Enterprise Market Segment of the Nairobi Securities Exchange of 23,600,000 Issued Ordinary Shares of KES 1.00 each of Nairobi Business Ventures Limited at a listing price of KES 5.00 per Ordinary Share

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3 June 2016

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## TRANSACTION ADVISORS

### Nominated Advisor & Sponsoring Securities Broker



#### **CBA Capital Limited**

CBA Centre, Mara and Ragati Road, Upper Hill  
P. O Box 30437 0 00100 GPO,  
Nairobi, KENYA  
Tel: + 254 20 2884000  
Contact : [kathure.nyamu@cbagroup.com](mailto:kathure.nyamu@cbagroup.com)  
[Judy.waithaka@cbagroup.com](mailto:Judy.waithaka@cbagroup.com)

### Reporting Accountants



#### **Swaly & Company**

Bukani Road, Nairobi West  
P. O Box 42213 – 00100  
Nairobi, KENYA  
Tel: + 254 20 600 3118

### Registrar and Company Secretary



#### **Image Registrars Limited**

5<sup>th</sup> Floor, Barclays Plaza, Loita Street  
P.O. Box 9287-00100  
Nairobi, KENYA  
Tel:+254 20 2230333 / 2212065 / 2246449  
Contact : [amohamed@image.co.ke](mailto:amohamed@image.co.ke)



#### **Bleep Africa**

2<sup>nd</sup> Floor, Park Suites, Parklands Road  
P.O. Box 2607 - 00200  
Nairobi, KENYA  
Telephone: +254 20 523 0416

### Legal Advisors



#### **Maina and Maina Company Advocates**

14<sup>th</sup> Floor, View Park Towers, Wing A  
Utalii Lane/Uhuru Highway  
P.O. Box 2607 – 00200  
Nairobi, KENYA

## IMPORTANT NOTICE

THIS DOCUMENT CONTAINS IMPORTANT DECISION MAKING INFORMATION FOR CONSIDERATION AND REQUIRES CAREFUL ATTENTION AS IT INCLUDES WITHIN IT, LEGAL, MARKET AND FINANCIAL INFORMATION.

This Listing Statement includes particulars given in compliance with the requirements of the Companies Act (Cap.486), the requirements of the Capital Markets Act (Cap. 485A), The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 and the rules and regulations made thereunder, as well as the rules set out in the Listing Manual of the Nairobi Securities Exchange.

This Listing Statement is issued by Nairobi Business Ventures Limited (“NBV” or “Nairobi Business Ventures” or “the Issuer” or “the Company”) and has been prepared in compliance with The Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations 2002 in connection with the proposed listing of 23,600,000 shares comprising 23.7% of the Company’s issued share capital (“Shares”), on the Official List of the Nairobi Securities Exchange (“NSE”) by way of Introduction (“Introduction”) on the Growth Enterprise Market Segment (“GEMS”) of the NSE. This follows approval of the listing by the shareholders through a shareholders resolution dated 15<sup>th</sup> April 2014.

Application has been made to the NSE and approval has been granted for the listing of NBV Shares on the NSE. Subject to compliance with the NSE Listing Rules, the NSE will admit the Shares of the Company for listing under the security code “NBV” in the GEMS. As a matter of policy, the NSE assumes no responsibility for the correctness of any statements or opinions made, or reports contained in this Listing Statement. Approval of the Listing is not to be taken as an indication of the merits of the Company or of the Shares.

The Directors of the Issuer, whose names appear in Section 6 of this Listing Statement, accept responsibility for the information contained in this document. To the best of the knowledge and belief of the Directors (who have taken all reasonable care to ensure that such is the case), the information contained in this document is in accordance with facts and does not omit anything likely to affect the import of such information.

Should any doubt arise as to the meaning of the contents of this Listing Statement or as to what action to take, please consult your investment bank, financial advisor, stockbroker or other professional advisor, duly authorized under the Capital Markets Act, who specializes in advisory on the acquisition of shares and other securities.

A copy of this Listing Statement together with the documents required by Section 43 of the Companies Act (Cap.486) to be attached hereto, have been delivered to the Registrar of Companies in Nairobi for registration.

NBV Shares will be available to the general public through secondary trading on the NSE. Upon listing, the sale or transfer of Shares will be subject to the rules of the NSE and the Central Depository and Settlement Corporation Limited. The register will be maintained by Image Registrars Limited – Share Registrar Services (the “Registrar”). There are currently no other restrictions on the sale or transfer of Shares under Kenyan law by Kenyan residents.

This Listing Statement does not constitute an offer or invitation to any person to subscribe for or purchase any new shares in Nairobi Business Ventures and is not marketing any new shares of the company. Neither this Listing Statement nor any other information supplied in connection with the Introduction is intended to provide a complete basis of any credit or other evaluation, nor should it be considered as a recommendation by NBV, that any recipient of this Listing Statement (or any other information supplied in connection with the Introduction) should purchase any shares of the Company.

### Legal Advisor's Opinion

Maina & Maina Advocates, the Legal Advisors, have given and not withdrawn their written consent to the inclusion in this Listing Statement of their Legal Opinion (attached as Appendix 1), and the references to their names in the form and context in which they appear, and have authorized the contents of the said Legal Opinion.

The Statutory, Legal and General Information section of this Listing Statement lists material contracts which arose in the ordinary course of business in which the Issuer is currently involved.

### Reporting Accountant's Opinion

This Listing Statement contains statements from Swaly & Company, the Reporting Accountants (attached as Appendix 2), which constitutes statements made by an expert in terms of Section 42(1) of the Companies Act. The Reporting Accountants have given and not withdrawn their consent to the issue of the said statements in the form and context in which they are included in this Listing Statement.

### Forward-looking statement

This Listing Statement contains "forward-looking statements" relating to the Company's business. These forward-looking statements can be identified by the use of forward-looking terminology such as "believes", "expects", "may", "is expected to", "will", "will continue", "should", "would be", "seeks" or "anticipates" or similar expressions, or the negative thereof, or other variations thereof, or comparable terminology or by discussions of strategy, plans or intentions. These statements reflect the current views of the Company with respect to future events and are subject to certain risks, uncertainties and assumptions.

Many factors could cause the actual results, performance or achievements of the Company to be materially different from the future results, performance or achievements that may be expressed or implied by such forward-looking statements. Some of these factors are discussed in more detail under "Risk Factors". Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, actual results may vary materially from those described in this Listing Statement as anticipated, believed, estimated or expected.

**This Listing Statement is dated: 3 June 2016.**

## CHAIRMAN'S STATEMENT

Dear Investor,

It is my pleasure to present to you this Listing Statement on behalf of the Board of Directors of Nairobi Business Ventures Limited.

As one of the more successful retailers of leather footwear and accessories in Kenya, Nairobi Business Ventures endeavours to build and promote a dominant African leather products brand from Kenya. Our adherence to good quality products and the value for money proposition has led to the Company's initial success.

Kenya's potential and that of its people is undermined and this in my opinion needs to change. Kenya has a rich source of raw materials and the skilled labour required to harness the growing demands of the leather market worldwide. Today, Kenya and Ethiopia are among the largest producers of raw leather in Africa. However, as a country, Kenya exports raw material and imports finished products at a premium unlike Ethiopia, which is processing its raw material, manufacturing various leather products and supplying finished product to various European markets. Nairobi Business Ventures sees a significant opportunity in the industry and believes that Kenya cannot afford to be left behind in the leather industry.

Nairobi Business Ventures has taken time to do extensive research on the leather industry in Kenya and the Eastern Africa region at large. We have evaluated the challenges we are likely to encounter in our venture and put in place the required mitigations. We would like to join hands on this mission with other Kenyan investors who share in our vision.

Our brand, "**KShoe**" will be built and established as one of the significant brands emerging from Kenya. To achieve this objective, Nairobi Business Ventures will expand its presence first through retail expansions and invest in backward integration into manufacturing. Our objective is to create world-class leather products and build **KShoe** as a formidable brand from Kenya. We believe that we can achieve this objective if we take one step at a time.

I request you to extend all support and good wishes in making this journey a success.

Yours Sincerely,

**Dr. Alfred Kithusi**

**Chairman, Nairobi Business Ventures Limited**

## Corporate Information

**Registered Office:** **Nairobi Business Ventures Limited**  
Suite No. 202, Apricot Suites, 4th Parklands Avenue  
P O Box 18638 - 00500  
Nairobi, KENYA  
Tel: + 254-20-310855, 0735 886 666  
Email: [vasu@kshoe.co.ke](mailto:vasu@kshoe.co.ke); [raj@kshoe.co.ke](mailto:raj@kshoe.co.ke)  
Website: [www.kshoe.co.ke](http://www.kshoe.co.ke)

**Incorporation:** March 2012

**Legislation:** Companies Act (Cap 487 of the Laws of Kenya)

**Legal Form:** Public Limited Liability Company  
Registration Number: CPU/2015/187285

**Financial Calendar:** Financial Year – 31<sup>st</sup> March

**Brand Name:** *KShoe*

### Branch Network:

| Kenyatta Avenue    | Moi Avenue                  | Village Market   | Ongata Rongai    | T-Mall                                     | Capital Centre        |
|--------------------|-----------------------------|------------------|------------------|--------------------------------------------|-----------------------|
| 680 Hotel Building | Opposite School<br>Uniforms | Ground Floor     | Next to Tuskys   | 1 <sup>st</sup> Floor, Next<br>to DTB Bank | 1 <sup>st</sup> Floor |
| +254 726 885 045   | +254 710 201 182            | +254 725 935 542 | +254 728 236 567 | +254 723 111 231                           | +254 723 505 767      |

### List of Directors:

(All directors are of Kenyan nationality)

| Name                               | Position                | Address                       | Age      |
|------------------------------------|-------------------------|-------------------------------|----------|
| Alfred Nzomo Kithusi               | Non- Executive Chairman | P O Box 407 - 00100 Nairobi   | 56 years |
| Srungarapu Rajasekhar              | Executive               | P O Box 18638 – 00500 Nairobi | 44 years |
| Abotula Venkata Satyanarayana Vasu | Executive               | P O Box 18638 – 00500 Nairobi | 50 years |
| Simon Saili Malonza                | Non-Executive           | P O Box 37416 – 00500 Nairobi | 42 years |
| Jayesh Himatlal Nagrecha           | Non-Executive           | P O Box 18638 – 00500 Nairobi | 47 years |

**Auditors:** **Swaly & Company**  
Bukani Road, Nairobi West  
Certified Public Accountants (Kenya)  
P. O Box 42213 – 00100  
Nairobi, KENYA

**Legal Advisor:** **Maina and Maina Company Advocates**  
View Park Towers, 14th Floor, Wing A  
Utalii Lane/Uhuru Highway  
P. O Box 2607 - 00200  
Nairobi, KENYA

**Company Secretary:** Lawrence Kibet  
Image Registrars  
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P. O Box 9287 00100  
Nairobi, KENYA  
Email: [lawrence.kibet@image.co.ke](mailto:lawrence.kibet@image.co.ke)

**Principal Bankers:** **Bank of Baroda**  
Industrial Area Branch  
Enterprise Road  
P.O. Box 18269 - 00500  
Nairobi, KENYA  
Telephone: +254 20 6555971

**Vision:** "To be Africa's most reputed and preferred brand in leather products retailing with footprint across the value chain."

**Mission:** "To drive innovation across the value chain by embracing change and harnessing the power of continuous improvement. By building a dynamic team that rises up to challenges and adheres to global standards in all aspects of the business."

- Core Values:**
1. **Integrity:** Integrity is the key to any business success. The fundamental value of our Company will be to create a transparent and trustworthy work environment where relationships and human values are as important as the business transaction.
  2. **Customer Centricity:** Every aspect of our business should be geared to meet the growing and changing needs of our customers and its only then we will be relevant at all times and have the ability to create long-term value.
  3. **Innovation:** The ability to stay relevant in the market place will only happen when we challenge ourselves and continuously innovate in every sphere of our business including product, retail, design and logistics.
  4. **Relationships:** The foundations of our business are built on relationships and we value that the most. We will strive to earn the trust of all our stakeholders be it employees, suppliers, vendors, landlords, media and investors.
  5. **Performance:** The organization will be built on the belief that every individual has to contribute to his best potential and it is only then we will achieve performance that meets high expectations. A culture of performance orientation will be built inside out.

## 1. DEFINITIONS AND ABBREVIATIONS

|                |                                                                                                  |
|----------------|--------------------------------------------------------------------------------------------------|
| ACA            | Associate of Chartered Accountants of India                                                      |
| CBA            | Commercial Bank of Africa                                                                        |
| CBK            | Central Bank of Kenya                                                                            |
| CDS            | Central Depository and Settlement                                                                |
| CGT            | Corporate Governance Tax                                                                         |
| Company        | Nairobi Business Ventures Limited                                                                |
| DCF            | Discounted Cash Flows                                                                            |
| GDP            | Gross Domestic Product                                                                           |
| GEMS           | Growth Enterprise Market Segment                                                                 |
| Government     | Government of Kenya                                                                              |
| Lock in Period | Duration for which promoting shareholders will not be allowed to exit and will thus be locked in |
| MCM            | Market Comparables Method                                                                        |
| Mitumba        | Imported second hand clothes and shoes sold in Kenya                                             |
| NBV            | Nairobi Business Ventures Limited                                                                |
| NSE            | Nairobi Securities Exchange                                                                      |

## 2. SALIENT FEATURES OF THE TRANSACTION

In this section we outline the key features of the Listing of the shares of Nairobi Business Ventures Limited. Investors are advised to read this Listing Statement in full along with other documents made available for inspection in order to fully appreciate the transaction.

### 2.1. THE LISTING

Nairobi Business Ventures is pleased to be joining the Nairobi Securities Exchange (“NSE”) as the first leather footwear and accessories retailer to list on the bourse.

With the consideration that the Company will require additional capital in order to achieve its objective of establishing a leather footwear and accessories manufacturing plant in Kenya, Nairobi Business Ventures has opted to list on the NSE by way of Introduction on the Growth Enterprise Market Segment (GEMS). This will enable investors to monitor the growth of the Company and position themselves to actively participate in its capital raising initiatives going forward. Listing on the NSE will also provide a broader base of shareholders and added liquidity for existing shareholders.

### 2.2. TRANSACTION OVERVIEW

Table 1: Transaction Overview

|                           |                                                                                                                                                                                              |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Transaction:</b>       | <b>Listing by Introduction on the GEMS segment of the NSE</b>                                                                                                                                |
| <b>Issuer:</b>            | New Business Ventures Limited                                                                                                                                                                |
| <b>Shares:</b>            | 23,600,000 ordinary shares each of Kes 1/= each comprising the issued and fully paid up share capital of the Issuer                                                                          |
| <b>Status:</b>            | Upon listing, freely transferable ordinary shares ranking pari passu with each other.                                                                                                        |
| <b>Trades:</b>            | Shares will be fully dematerialized and uploaded into the Central Depository and Settlement (“CDS”) prior to trading.                                                                        |
| <b>Compliance:</b>        | The Listing is subject to the requirements of the Memorandum & Articles of Association, the Companies Act, the Capital Markets Act, the NSE Listing Manual and the Central Depositories Act. |
| <b>Price per Share:</b>   | Kes 5 per share                                                                                                                                                                              |
| <b>Nominated Advisor:</b> | CBA Capital Limited                                                                                                                                                                          |
| <b>Market Segment:</b>    | Growth Enterprise Market Segment (“GEMS”)                                                                                                                                                    |
| <b>Listing Date:</b>      | 21 June 2016                                                                                                                                                                                 |
| <b>Governing Law:</b>     | Kenyan Law                                                                                                                                                                                   |

### 2.3. BASIS FOR SETTING LISTING PRICE

The listing price has been determined by the Issuer in consultation with the Nominated Advisor on the basis of two valuation techniques, **Discounted Cash Flow Method (“DCF”)** and **Market Comparable Method (“MCM”)**. In addition, the listing price has also taken into consideration the current macro-economic outlook as well as the historical and projected financial performance of the Company.

The listing price has therefore been determined on the following basis:-

- The historical and projected financial performance of the Company;
- Kenya and the region's macro-economic outlook.
- Market Comparables: We have specifically used the share prices of similar businesses not only in Kenya but also in developing countries. In particular we have relied on three benchmarks to arrive at a valuation range, that is, Market Value to Book Value, Price to Sales and Price to Earnings Multiples, with reference made to the prevailing valuation multiples for comparable businesses from different markets in the world including India, South Africa and the United Kingdom.
- Discounted Cash Flow ("DCF") by taking into account the cash flow generation potential of the Company based on the projected 2016 to 2020 business plan. These projections detail how financial targets will be achieved as well as the relevant strategies to be deployed in order to achieve them. A discounting rate that factors in the risks associated with the NBV business model was used to discount the annual cash flows.

## 2.4. THE COMPANY

Nairobi Business Ventures Limited ("Nairobi Business Ventures", "NBV", "the Issuer", or "the Company") was incorporated in Kenya in March 2012 as a private limited liability company under the Companies Act with registration number **CPR/2012/68371**. In 2015, NBV was converted into a public Company with registration number **CPU/2015/187285** following a shareholders resolution to issue shares to the public.

The Company was established as a shoe and leather accessories retailing business and opened its first retail outlet in June 2012 at the Village Market Shopping Mall in Nairobi. NBV has since grown to having six (6) retail outlets in and around Nairobi operating under the brand name "**KShoe – Leather Accessories**" (hereinafter referred to as "**KShoe**").

Having understood the potential of leather products retailing business in Kenya and the region, the promoters of NBV developed the vision to promote local brands in addition to having its own brand and reliable supply lines with the long-term objective of setting up a local manufacturing plant for leather shoes and other leather accessories or products.

NBV was incorporated with a share capital of Kes 100,000 divided into 1,000 shares of Kes 100 each. However, in a general meeting held on 15th April 2014 the Company's paid up capital was increased to Kes 10,000,000 divided into 100,000 shares of Kes 100 each. The Company's shareholders also resolved to split the shares in the ratio of 1:100 (i.e. 100 shares for every 1 share held), resulting in an authorized share capital of Kes 10,000,000 divided into 10,000,000 shares of Kes 1 each. At the same meeting, the shareholders further resolved to increase the Company's authorized share capital from Kes 10,000,000 to Kes 50,000,000 divided into 50,000,000 shares of Kes 1 each, of which 18,000,000 are issued and fully paid up.

An additional 5,600,000 shares comprising of 23.7% equity stake in NBV were issued to new shareholders through a private placement completed in May 2016. This brought the issued share capital to a total of 23,600,000 shares and brought on board 26 new individual minority shareholders. The new shares were acquired at a price of Kes 5 per share representing a premium of Kes 4 per share.

## 2.5. RESULTS OF THE PRIVATE PLACEMENT

The private placement exercise was completed on 10<sup>th</sup> June 2016 having raised the full targeted amount of Kes 28 million from 26 new shareholders.

## 2.6. BUSINESS PROSPECTS

NBV's primary objective is to establish **KShoe** as a dominant brand in leather products through retailing. Accordingly, the Company's initial focus is to roll out an additional 8 to 12 retail outlets in major towns in Kenya over the next 5 years and establish a leather accessories product line. This is to be followed by the establishment of a leather products manufacturing

plant which is expected to add value to the business through reduced costs of sales and increased profit margins amongst others. This growth plan is the bedrock on which NBV will achieve its strategic objective of attaining a turnover of Kes 500 million within the next five (5) years.

In order to achieve its long-term objective, NBV has opted to list on the GEMS board, which was launched by the NSE to target small and medium sized companies seeking to raise growth capital.

## **2.7. KEY INVESTMENT CONSIDERATIONS**

### **2.7.1. Demand for leather footwear and accessories**

Approximately 60% of the retail shoe market in Kenya is dominated by new shoes while approximately 40% is taken up by second hand imported shoes (*"Mitumba"*). The retail shoes market is served by a number of established shoe retailers with chain stores in major towns, small shoe shops and boutiques and the bustling Eastleigh market. NBV's target is the market currently served by smaller retailers, which is estimated at about 10 million pairs of shoes per year and is growing.

NBV has established that demand for school shoes in Kenya is high with the total market size estimated at approximately 20 million pairs per year. About 8 million of these are purchased from the *"Mitumba"* market and the rest from the new shoes' market. NBV further estimates that Bata Shoe Company meets 30% (3 million pairs) of the new school shoes demand while the remaining 70% (7 million) is met by imported school shoes. NBV seeks to not only retail new shoes but also bridge the gap by manufacturing durable shoes for school going children in the near future.

NBV also retails leather goods and accessories such as belts, wallets, purses, passport holders, business card holders and iPad cases, jackets, ladies leather handbags, leather hats amongst others. The Company plans to tap further into this segment by providing tailor made leather accessories to local companies for use as corporate gifts and souvenirs. Recent trends have seen an increased preference for genuine leather accessories among Kenya's middle and upper class population. This is attributable to the good "look and feel" and durability of genuine leather and has created a growing demand for such products. NBV seeks to tap into the opportunity.

### **2.7.2. Government devolution**

The devolution of power to the county Governments in Kenya is expected to result in several positive developments. The Issuer expects that with more funds being channelled to counties, greater development shall result in the growth of the Kenyan middle class. NBV believes this growth will result in the creation of new potential market and increase potential growth. Accordingly, NBV has identified key counties of focus and has already sought retail space in Kisumu, Nakuru and Eldoret.

### **2.7.3. Regional growth prospects**

Ethiopia, Kenya's neighbour to the north, is so far the only country in the region that has a well-developed leather industry. Ethiopia's footwear industry and its leather sector in general enjoy significant international comparative advantages owing to its abundant and available raw materials, highly disciplined workforce and competitive prices. The country's leather manufacturing sector produces a range of products from semi-processed leather (in various forms) to processed leathers (in the form of shoe uppers, leather garments, stitched upholstery, backpacks, purses, industrial gloves) and other finished leather products. These products are exported to other African countries such as Nigeria and Uganda as well as to various markets including Italy, the United Kingdom, America, Canada, China, Japan and other Far Eastern countries.

From early 2014, NBV started sourcing a significant portion of the Company's leather garments and footwear from Ethiopia thus reducing the cost and time taken to transport the products into Kenya because of the proximity of Kenya to Ethiopia and the friendly trade agreements between the two countries.

Other growing markets with significant market potential include Uganda, Tanzania, Rwanda and Burundi. This provides NBV with the opportunity to establish itself as a regional player in order to service these markets. The Company's long term objective following the establishment of a leather manufacturing plant is to serve the entire East Africa region with quality finished leather products.

#### **2.7.4. Experienced Board**

The NBV Board is composed of highly experienced and reputable professionals with fields of knowledge required to successfully run a growth oriented and ambitious company. A summary of the Board's experience is as shown below:

- **Dr. Alfred Kithusi** the chairman was previously the Operations Director for Deacons Ltd which operates clothing retail outlets in Kenya and the East Africa region selling premium brands such as; Truworths, Adidas, Angelos, Mr. Price etc.
- **Mr. Vasu Abotula** has previously worked as an executive with one of the leading leather manufacturers in Kenya for over 6 years;
- **Mr. Rajasekhar Srungarapu**, the Managing Director is a marketing professional and has previously worked for multinational companies in India and Kenya; and
- **Mr. Simon Malonza** is a member of the Chartered Institute of Arbitrators of Kenya and is an expert in dispute resolutions.
- **Mr. Jayesh Nagrecha** is an accountant by profession with over 25 years' experience gained in India and Kenya. He has a wealth of experience in finance, corporate planning, taxation and strategic management.

#### **2.8. REASONS FOR THE LISTING**

In addition to providing the Company with an avenue for future capital raising options, other reasons for listing NBV on the NSE is to offer its shareholders the benefits of being listed on the securities market which include amongst others, liquidity, price discovery and branding advantage.

The NBV securities on offer are not issued in connection with any merger, division of a company, takeover offer, acquisition of an undertaking's assets and liabilities or transfer of assets.

## 2.9. KEY LISTING STATISTICS

Table 2: Key Listing Statistics

| Details Statistics                                                  |                |
|---------------------------------------------------------------------|----------------|
| Listing price per share                                             | Kes 5          |
| Par value of each share                                             | Kes 1          |
| Total number of issued shares following the listing                 | 23,600,000     |
| Projected net profit for the twelve (12) months ended 31 March 2017 | Kes 9,887,639  |
| Earnings per share for the twelve (12) months ended 31 March 2015*  | Kes 0.15       |
| Earnings per share for the twelve (12) months ended 31 March 2016*  | Kes 0.25       |
| Immediate dilution resulting from the listing                       | Kes 0.66 (24%) |

\*The Company's year-end is 31 March. This Listing Statement was prepared using audited 2015 financials and Management Accounts to 31 March 2016

## 2.10. TRANSACTION TIMETABLE

Table 3: Transaction Timetable

| Item                                           | Date                        |
|------------------------------------------------|-----------------------------|
| Board Approval of Listing                      | 14th April, 2014            |
| Annual General Meeting                         | 14th April, 2014            |
| Approvals from the NSE                         | 24th March, 2016            |
| Deadline for uploading the shares into CDS     | 17 <sup>th</sup> June, 2016 |
| Dispatch of Listing Statement to shareholders  | 17 <sup>th</sup> June, 2016 |
| Listing and Commencement of Trading at the NSE | 21 <sup>st</sup> June, 2016 |

## 2.11. EXPENSES OF THE OFFER

The expenses of the NBV Listing are estimated at Kes 3,260,000 or 11.64% of the amount raised in the private placement prior to the listing.

Table 4: Transaction Timetable

| Professional fees and related costs | KES              |
|-------------------------------------|------------------|
| Nominated Advisor                   | 1,730,000        |
| Reporting Accountants               | 400,000          |
| Legal Advisors                      | 600,000          |
| Registrars                          | 200,000          |
| Media & Public Relations            | 240,000          |
| NSE listing fees                    | 50,000           |
| Miscellaneous Expenses (Printing)   | 40,000           |
| <b>TOTAL</b>                        | <b>3,260,000</b> |

\* These figures are inclusive of VAT (where applicable) and may be subject to change.

## **2.12. LOCK-IN PERIOD FOR MAJOR SHAREHOLDERS**

Following the Listing, NBV's current major shareholders will hold a total of 76.3% equity stake while the remaining 23.7% will be held by the public.

As a sign of commitment to the growth of the Company and confidence in the long-term fundamentals, the two (2) majority shareholders and founder members, have agreed not to offload their shareholding initially for a period of 24 months after the Listing. In addition, the Issuer shall use its best endeavours to ensure the continued retention of suitably qualified management during and after the Listing. In particular, NBV will endeavour to ensure that no change of management occurs for a period of 24 months following the Listing (except where such staff is relieved of their duties as a result of a serious offence and which affects the integrity of the Company).

## **2.13. DIRECTORS' REMUNERATIONS AND DIVIDEND POLICY**

For the next five (5) years, NBV directors recommend the adoption of a retention policy with a higher percentage of the net earnings being retained for re-investment and expansion. The directors recommend retention of at least 65% of the Company's earnings in the next five years. The retained earnings will strengthen the balance sheet position and facilitate opening of new retail outlets. All taxes on dividends will be withheld at source.

The projected financial statements provide for directors' emoluments that will be determined from time to time by the Board Nominations, Remuneration and Compensation Committee. The remuneration for directors will be tied to the performance of the company and will be at the discretion of the Board Nominations, Remuneration and Compensation Committee.

There are not sums paid or agreed to be paid within the year immediately preceding the date of publication of this Listing Statement, to any director or to any company in which the directors are beneficially interested, directly or indirectly, or of which they are director, or to any partnership, syndicate or other association of which the directors are a member, in cash or securities or otherwise, by any person either to induce them to become or to qualify them as directors, or otherwise for services they rendered or by the company, partnership, syndicate or other association in connection with the promotion or formation of the Issuer.

## **2.14. CAPITAL ADEQUACY**

As the Nominated Advisor, it is our opinion that the Company holds sufficient working capital to finance all short term obligations in the next twelve months. These include the portion of the loan and bank overdraft that is due in the next twelve months. The Company maintains healthy working capital ratios and at all times has sufficient cash and cash equivalents to cover all short term obligations. It is also our opinion that the company has sufficient capital for the purposes of their business.

### 3. KENYAN ECONOMIC OVERVIEW

#### 3.1. MACROECONOMIC OVERVIEW<sup>1</sup>

The 2015 KNBS (Kenya National Bureau of Statistics) Economic Survey indicated that Kenya's economy grew by 5.3% in 2014. This followed a growth of 5.7% in 2013 and 4.5% in 2012. The growth was mainly driven by an increase in private final consumption and a rapid growth in capital investment. The growth was further driven by increased public investment in infrastructure, higher industrial and services output and robust consumer spending in the period. In addition the stable macroeconomic environment helped buoy investments with the single-digit inflation and a stable exchange rate favouring an accommodative monetary policy.

The Government projects that the economy will grow by 6.9% in 2015. The World Bank has also projected that the economy will grow by between 6.0-7.0% over the next two years. The growth will be underpinned by increased investment in infrastructure and energy, particularly the vision 2030 flagship projects, fairly low interest rates, increased consumer spending and broader growth in the counties. Kenya is projected to be third fastest growing economy in the world, just behind China and the Philippines, according to a survey conducted by Bloomberg in early 2015.

The most significant recent development in Kenya so far remains the issuance of the country's debut Eurobond in 2014, the largest issue in the continent excluding South Africa. The successful Eurobond sale raised US\$ 1.50 billion from a 10 year paper and USD\$ 0.50 billion from the 5-year tenor. The 10-year and 5-year bonds, pay interest at coupon rates of 6.875% and 5.875% respectively recorded large order book with a total subscription exceeding US\$ 8 billion (US\$ 2.5 billion and US\$ 5.5 billion for the 10-year and 5-year papers respectively).

In 2014, Kenya discovered significant deposits of oil in the North Eastern and Coastal Kenya. Mandera County could rival Turkana County in terms of oil wealth, with estimates of more than 1.3 billion barrels of oil. This is in comparison to about a billion barrels thought to be in Turkana. Moreover, Lamu County is estimated to have more than 3.7 billion barrels and thus placing Kenya to be on the path to becoming a major oil producer. However, it remains unclear whether the discoveries are 100% recoverable. Kenya's is expected to take its oil to international markets starting 2020.

The President of Kenya during his State of the Nation Address to parliament in March 2015 indicated that the government has initiated huge infrastructure projects that will further strengthen Kenya's economy and boost economic growth. The Lamu Port South Sudan Ethiopia Transport Corridor (LAPSSET) connecting Kenya's coast, Ethiopia and South Sudan is set for completion by 2018 and is expected to boost Kenya's annual economic growth by 2.5%. The standard gauge railway will decongest roads and improve cargo transport. This will make it easier for manufacturers and distributors to transport their products to different areas of the country. The upgrade of Mombasa Port is expected to reduce freight times by over 75% by the time of its completion before the end of 2015. There are many on-going road expansion and improvement projects in the country in both urban and rural areas. Kenya is also now the 8th largest geothermal power producer in the world with a total of 1600MW produced by geothermal plants. This has led to a reduction of 25% in power costs according to government statistics.

The recent hosting of the 2015 GES (Global Entrepreneurship Summit) in Nairobi in July 2015 is expected to boost the recovery of tourism and foreign direct investment into Kenya in the last five months of 2015 and going into 2016. The summit was graced by President Barack Obama of the USA and a large number of high profile business persons and investors. This was the first time the summit was hosted in a Sub-Saharan country. The summit helped to raise Kenya's profile in the international business and trade arena. Kenya will also host the 10th World Trade Organization (WTO) Ministerial Conference (MC10) in December 2015 that will be taking place in Africa for the first time. This is expected to

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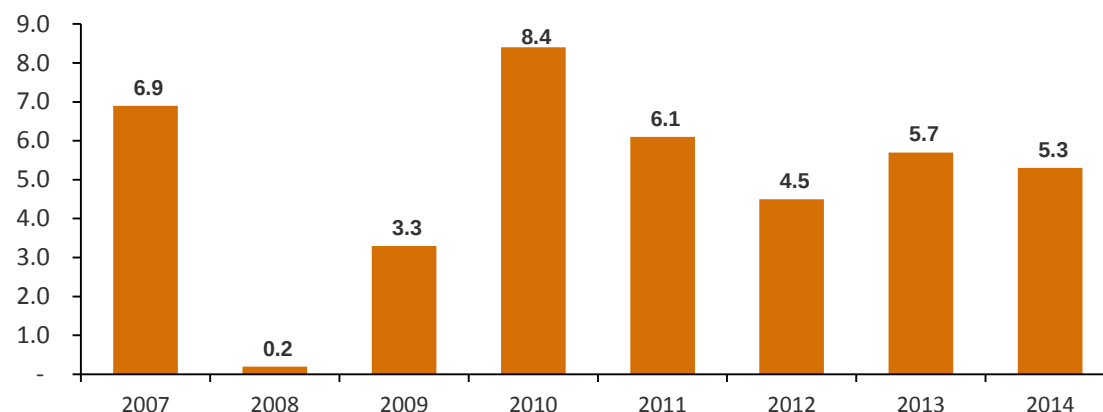
<sup>1</sup> Source: Kenya Leather Development Council, Nairobi Securities Exchange and CBA Research

help regain the confidence of foreign investors and tourists and further boost the recovery of tourism and foreign investments inflow. This is expected to have an overall positive effect on Kenya's economic growth in 2015 and 2016.

Kenya's economic growth prospects remain promising predicated on a big infrastructure push alongside successful implementation of devolved Government to improve service delivery across the country.

The chart below shows the growth of GDP in Kenya in recent years.

**Figure 1: Rebased GDP growth in % (Rebased)**



Source: Kenya National Bureau of Statistics (Highlights of the revision of National Account 2015)

The table below shows the contribution of different sectors to the national GDP over the last four years and the growth of those sectors.

**Table 5: Sectorial GDP growth**

| Main sector share of GDP in %                | 2011   | 2012  | 2013  | 2014  |
|----------------------------------------------|--------|-------|-------|-------|
| Agriculture and Forestry                     | 26.3   | 26.1  | 26.4  | 27.3  |
| Fishing                                      | 0.6    | 0.7   | 0.6   | 0.5   |
| Mining and Quarrying                         | 0.9    | 1.1   | 0.8   | 0.8   |
| Manufacturing                                | 11.8   | 11.0  | 10.7  | 10.0  |
| Electricity and Water Supply                 | 1.9    | 2.0   | 2.0   | 1.8   |
| Construction                                 | 4.4    | 4.5   | 4.5   | 4.8   |
| Wholesale and Retail Trade, Repairs          | 8.1    | 7.8   | 8.1   | 8.2   |
| Hotel and Restaurants                        | 1.3    | 1.3   | 1.2   | 0.9   |
| Transport and Communication                  | 8.7    | 9.4   | 9.6   | 9.5   |
| Financial Intermediation                     | 5.7    | 5.9   | 6.6   | 6.7   |
| Real Estate, Renting and Business Services   | 8.1    | 8.0   | 7.9   | 7.8   |
| Public Administration and Defence            | 5.6    | 5.7   | 5.6   | 5.6   |
| Education                                    | 5.3    | 5.4   | 5.3   | 5.2   |
| Health and Social Work                       | 12.0   | 1.8   | 1.7   | 1.8   |
| Other Services                               | 1.2    | 1.2   | 1.1   | 1.1   |
| Less: Financial Services Indirectly Measured | (12.4) | (2.6) | (2.6) | (2.5) |
| All Economic Activities                      | 89.9   | 89.9  | 89.9  | 90.3  |
| Taxes (less subsidies) on Products           | 10.1   | 10.1  | 10.1  | 9.7   |
| GDP at constant market prices                | 100.0  | 100.0 | 100.0 | 100   |

Source: Kenya National Bureau of Statistics (Economic Survey 2015)

**Table 6: Sectorial growth rate in %<sup>2</sup>**

| Main Sectors Annual Growth Rate (%)               | 2011       | 2012       | 2013       | 2014       |
|---------------------------------------------------|------------|------------|------------|------------|
| Agriculture and Forestry and Fishing              | 2.4        | 2.9        | 5.2        | 3.5        |
| Mining and Quarrying                              | 19.0       | 19.0       | (9.0)      | 14.2       |
| Manufacturing                                     | 7.2        | (0.6)      | 5.6        | 3.4        |
| Electricity Supply                                | 13.3       | 13.6       | 9.8        | 6.8        |
| Water Supply, sewerage, waste management          | 3.6        | 3.2        | 0.9        | 3.6        |
| Construction                                      | 4.0        | 11.2       | 5.5        | 13.1       |
| Wholesale and Retail Trade, Repairs               | 8.3        | 7.0        | 8.5        | 6.9        |
| Transport and Storage                             | 7.1        | 2.8        | 1.3        | 5.0        |
| Hotel and Restaurants                             | 4.1        | 3.1        | (4.6)      | (17.2)     |
| Information and communication                     | 22.0       | 2.2        | 12.3       | 13.4       |
| Financial and Insurance Activities                | 4.7        | 6.0        | 8.1        | 8.3        |
| Real Estate                                       | 5.1        | 4.0        | 4.1        | 5.6        |
| Professional, scientific and technical activities | 1.6        | 6.2        | 6.7        | 3.6        |
| Administrative and support services activities    | 2.5        | 2.3        | 1.4        | 2.0        |
| Public administration and defence                 | 2.5        | 4.0        | 3.1        | 5.5        |
| Education                                         | 7.5        | 11.6       | 6.3        | 7.5        |
| Human health and social work activities           | (2.6)      | (2.8)      | 7.7        | 7.2        |
| Arts, entertainment and recreation                | 3.6        | (2.7)      | 3.0        | 3.2        |
| Other service activities                          | 1.1        | 4.0        | 7.3        | 6.5        |
| Activities of households as employers             | 1.5        | 1.5        | 1.5        | 1.5        |
| Financial Industry Services Measured Indirectly   | 9.1        | 10.1       | 5.2        | 11.2       |
| All economic activities                           | 5.4        | 4.3        | 5.3        | 5.3        |
| Taxes on products                                 | 12.6       | 7.7        | 8.7        | 5.2        |
| GDP at market prices                              | <b>6.1</b> | <b>4.5</b> | <b>5.7</b> | <b>5.3</b> |

Source: Kenya National Bureau of Statistics (Economic Survey 2015)

As the Kenyan economy has continued to grow, different sectors of the economy have shown considerable growth over the last decade. Growth in many sectors has been driven by increased consumer and government spending. There has been a significant boom in the construction industry that has also boosted growth in other sectors including the rubbers and plastics manufacturing sector.

Transport and Communication sectors recorded growths of 5 percent and 13.4 percent in 2014, up from respective growths of 1.3 percent and 12.3 percent in 2013 mainly boosted by accelerated growth in post and telecommunication. The improved performance in the transport subsector was as a result of the expansion of air and land transport. The growth of the communication sector was supported by continued rapid expansion in mobile telephony and related services.

The manufacturing sector expanded by 3.4 percent in 2014, following a growth of 5.6 percent in 2013. Broadly the acceleration in growth was experienced in manufacturing of both food and non-food products. The growth in the manufacture of food, beverages and tobacco was primarily driven by enhanced production of sugar and processed and preserved fruits and vegetables. Manufacturing of non-food products was mainly fuelled by increased manufacture of rubber products, fabricated and basic metals and furniture and pharmaceutical products.

<sup>1</sup> Percentage changes are based on 2009 constant prices

The financial intermediation sector grew by 8.3 percent in 2014 compared to 8.3 percent in 2013. The growth in the sector was due to the improvement in demand for domestic credit during the year.

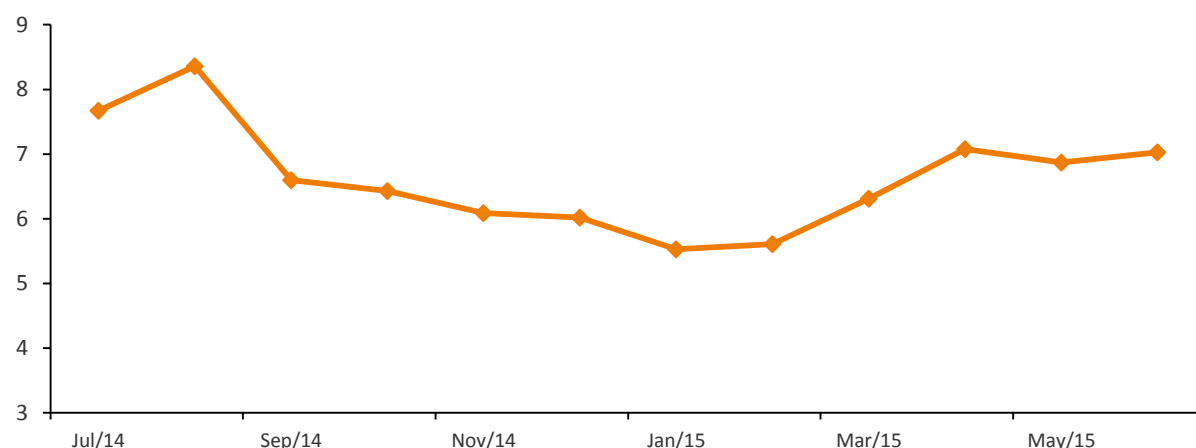
The construction sector recorded an impressive growth of 13.1 percent in 2014 compared to 5.8 percent in 2013. This was attributed to increased spending on infrastructural development by the Government and improved private sector construction activities.

The Hotels and Restaurants sector had the biggest contraction of 17.2 percent in 2014 having contracted by 4.6 percent in 2013 and grown by 3.1 percent in 2012. This was due to security concerns, arising from negative travel advisories by some governments and a decline in the economic fortunes of major tourists' sources among them USA and European countries.

### Inflation

Inflation eased towards the end of 2014 and early 2015 mainly due to reduced fuel prices globally and reduced energy prices in Kenya. This helped to reduce costs of input in many sectors hence prices for most products reduced. The weakening of the Kenya shilling against the US dollar in recent months has caused a slight increase in fuel prices and effectively led to higher inflation between April and July 2015. The Monetary Policy Committee (MPC) of the Central Bank of Kenya (CBK) has taken measures to control inflation in recent months including the upward review of the Central Bank Rate from 8.5% first to 10% in June and then to 11.5% in July.

**Figure 2: Monthly inflation movement (%)**

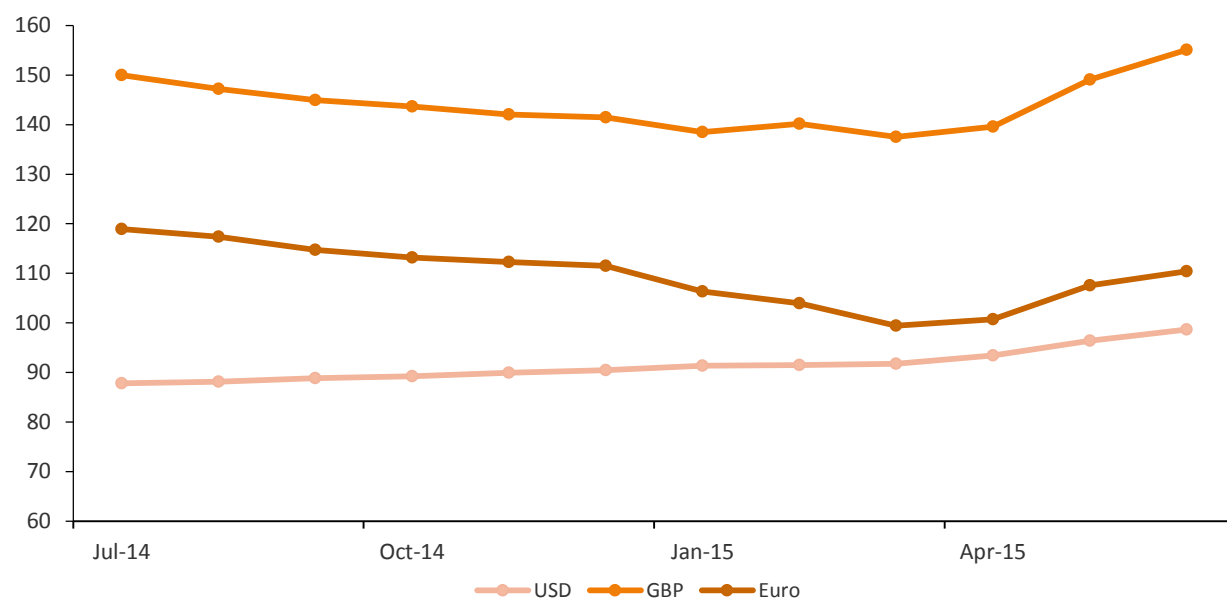


Source: Central Bank of Kenya

### Foreign Exchange

Recent USD rally has seen the Kenya shilling depreciate against the USD to a low of 102.55 recorded on 21st July 2015 with the year to date loss of 10.6% as at 27th July 2015. This materialised in spite of intervention by the Central bank through liquidity mop up and direct USD supply has cushioned the shilling against untidy volatility and raising of the Central Bank Rate ("CBR") by 300 basis points in two months. While the bullish US Dollar still portends some downside risk to the shilling projected improvement in the trade deficit to 4.7% of the GDP from about 8.2% recently owing to low international food and fuel prices, points to better prospects for the shilling. The issue of the USD 2.0 billion sovereign bond in September 2014 shored up foreign exchange reserves offering the much needed buffer to the Kenya shilling.

Figure 3: Kenya Shilling movement against major currencies

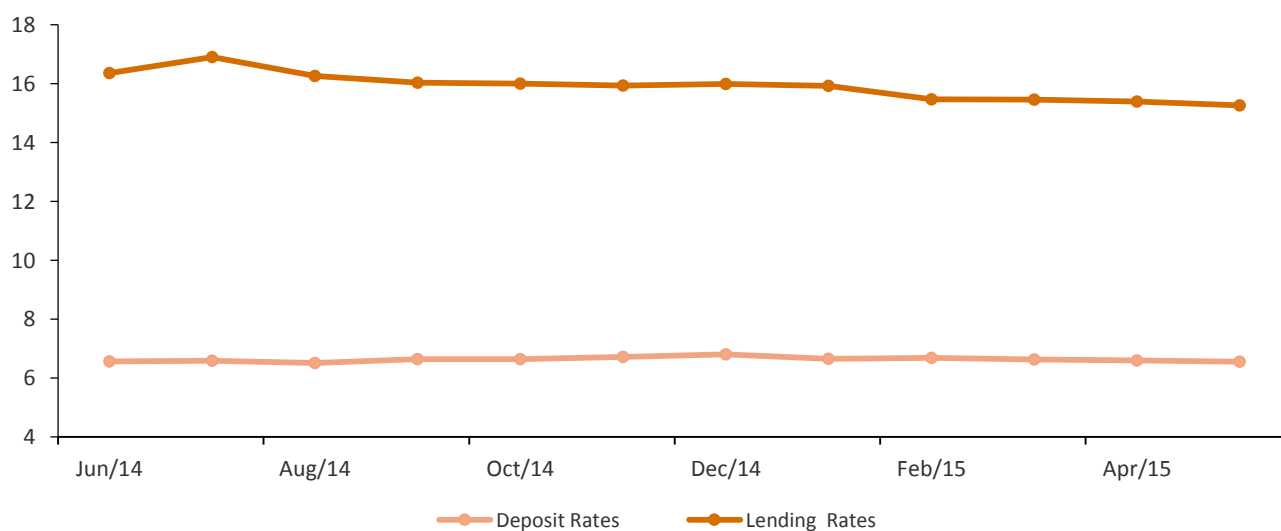


Source: Central Bank of Kenya

### Interest rates

Interest rates experienced a steady decline over the past three years and the launch of the Kenya Bankers' Reference Rate has ushered in a transparent credit pricing framework that could spur competition amongst lenders. Additionally, the successful sale of the debut Kenya Government Eurobond is expected to reduce government borrowing from the domestic market, thereby driving interest rates further down. In May 2015, the Monetary Policy Committee ("MPC") of the Central Bank of Kenya, in an attempt to ease pressure on the Kenyan Shilling against major world currencies especially the US Dollar, reviewed the Central Bank Rate ("CBR") upwards from 8.5% to 10%. The MPC reviewed the CBR rate further upwards to 11.5% in June 2015.

Figure 4: Average commercial bank rates (%)



Source: Central Bank of Kenya

## Debt Market

Yields on Treasury bills closed at 11.49%, 12.43% and 13.03% for the 91, 182 and 364 days papers respectively as at 24th July 2015.

Table 7: Indicative rates for June 2015

| Instrument     | Indicative Rate |
|----------------|-----------------|
| Interbank Rate | 16.96%          |
| 91-Day T-bill  | 11.49%          |
| 182-Day T-bill | 12.43%          |
| 364-Day T-bill | 13.03%          |
| 2-Year T-Bond  | 13.83%          |
| 5-Year T-Bond  | 14.36%          |
| 10-Year T-Bond | 14.45%          |
| 15-Year T-Bond | 14.48%          |
| 20-Year T-Bond | 14.49%          |
| 25-Year T-Bond | 14.50%          |

Source: Central Bank of Kenya

## Vision 2030

The Kenya Vision 2030 is the national long-term development blue-print that aims to transform Kenya into a newly industrializing, middle-income country providing a high quality of life to all its citizens by 2030 in a clean and secure environment.

The Vision comprises three key pillars, that is, Economic; Social; and Political. The Economic Pillar aims to achieve an average economic growth rate of 10 per cent per annum and sustaining the same until 2030. The Social Pillar seeks to engender just, cohesive and equitable social development in a clean and secure environment, while the Political Pillar aims to realise an issue-based, people-centred, result-oriented and accountable democratic system.

The three pillars are anchored on the foundations of macroeconomic stability; infrastructural development; Science, Technology and Innovation (“STI”); Land Reforms; Human Resources Development; Security and Public Sector Reforms.

Of significant importance, have been key energy and infrastructure projects that promise to unlock the full economic potential of the economy. These include:

Table 8: Key energy and infrastructure projects in Kenya

| Project Name                                    | Ministry                                              |
|-------------------------------------------------|-------------------------------------------------------|
| Energy Generation of 23,000 MW and distribution | Ministry of Energy and Petroleum                      |
| Development of Dongo Kundu Freeport             | Ministry of East African Affairs Commerce and Tourism |
| Dredging of Mombasa Port                        | Ministry of Transport and Infrastructure              |
| JKIA Expansion and Modernization                | Ministry of Transport and Infrastructure              |
| LAPSSET                                         | Ministry of Transport and Infrastructure              |
| Standard Gauge Railway                          | Ministry of Transport and Infrastructure              |

Indeed, the additional of 140MW of power to the national grid following the recent commissioning of the geothermal plants is expected to result in a 30% decrease in the cost of energy as the more expensive thermal power is retired. This is expected to impact consumers positively as manufacturers transfer the benefits of the reduced costs of production.

In 2014, Kenya discovered significant deposits of oil in the North Eastern and Coastal Kenya. Mandera County could rival Turkana County in terms of oil wealth, with estimates of more than 1.3 billion barrels of oil. This is in comparison to about a billion barrels thought to be in Turkana. Moreover, Lamu County is estimated to have more than 3.7 billion barrels and thus placing Kenya to be on the path to becoming a major oil producer. However, it remains unclear whether the discoveries are 100% recoverable. Another major concern currently is around the global plunge in oil prices. Oil prices have been on a downward trend, hitting their lowest levels in the past four years. Whereas the sharp fall in oil prices is likely to provide much-needed relief to the economy in the short-run, sustained low oil prices will not only impact Kenya's future earnings from oil but will also affect on-going investments in the sector.

The construction of Kenya's Standard Gauge Railway has begun in earnest, in a journey that will snake through an estimated 3,230 kilometre across the country. This is one of the six critical thematic areas of the full year 2014/15 budget that is expected to fortify the platform for accelerated inclusive growth. The routes include Mombasa-Nairobi (485 km), Nairobi-Malaba (520km) and a Kisumu branch line of 174km. Two new corridors will be built- Lamu to Nadapal (1350km) on the border with South Sudan, and 700km from Nairobi to Moyale on the Ethiopian border. The first phase from Mombasa to Nairobi is expected to create about 60,000 jobs directly and up to 200,000 jobs indirectly over the next 40 months.

### **3.2. KENYAN FOOTWEAR & LEATHER SUB-SECTOR ANALYSIS**

#### **Overview of Kenya's Manufacturing Sector**

The manufacturing sector which accounts for about 10.0% of the GDP expanded by 4.8% in 2013, faster than the 3.2% growth in 2012. The sector further grew by 3.4% in 2014. The acceleration in growth was experienced in manufacturing of both food and non-food products. The expansion in the manufacture of food, beverages and tobacco was primarily driven by enhanced production of sugar and processed and preserved fruits and vegetables. Manufacturing of non-food products was mainly fuelled by increased manufacture of rubber products, fabricated and basic metals and furniture and pharmaceutical products. The volume of output from the manufacturing sector also increased in 2014 by 4.5 per cent.

The 2015 KNBS Economic Survey indicated that the manufacturing sector's contribution to Gross Domestic Product (GDP) has remained at an average of 10 per cent for more than 10 years. The Kenya Vision 2030 stipulates that the sector should account for 20 per cent of GDP.

Modest inflation in 2014 contributed to capital accumulation in the manufacturing sector thus boosting production. The decrease in oil prices in the second half of 2014 also contributed to reduction in input costs.

The growth of the manufacturing sector is expected to be boosted further by the reduction in energy costs as Government exploits the over 10,000 MW of potential geothermal capacity in the country. KenGen added 280MW of geothermal power to the national grid increasing the contribution to 51.0% of the total energy consumed in the country from below 15.0% in 2013.

#### **Leather Manufacturing in Kenya**

According to the Private Sector Development Strategy under Vision 2030, footwear is a priority subsector for Kenya. In line with this, the Kenyan Government on 15th January 2015 announced plans to establish a Kes 10 billion Leather City in Kenania, Athi River in a quest to revive the leather industry and increase Kenya's export of leather footwear, bags, and other accessories. The proposed development will be established on 500 acres of land that has been identified in eastern

Kenya. This move is in line with the Government's policy to shift the country from an exporter of raw and semi processed hides and skins to finished leather goods.

It is anticipated that the proposed industrial park will feature infrastructure including a common effluent treatment plant as well as carefully integrated leather and leather goods production facilities including tanneries, a training centre, common manufacturing facilities, chemical storage and distribution units as well as leather goods and accessories production units.

In early 2015, construction of a new leather factory commenced in Ewaso Ngiro; Narok County. The factory is a project of the Ewaso Ngiro South Development Authority in partnership with the Leather Development Council, Kenya Investment Authority and the Export Processing Zone Kenya. The new factory plans to source raw leather from livestock farmers in the Rift valley and South Nyanza regions of Kenya as well as the Northern parts of Tanzania. This further indicates the significant opportunity in the leather manufacturing industry and the realization by different investors that Kenya has great potential as a leather manufacturing.

The leather sector in Kenya is currently estimated at a value of Kes 27.0 billion, but industry stakeholders say the proposed Government intervention will result in a Kes 90 billion industry.

## 4. LEATHER INDUSTRY OVERVIEW

### 4.1. SECTOR OVERVIEW

In 2013, the Kenya Leather Development Council (“KLDC”) estimated that Kenya manufactured about 4 million units of leather products, which is meagre compared to the deficit of about 33 million units considering Kenya’s population. Research shows that Kenya has the ability to successfully run a leather industry as the country produces significant amounts of hides and skins. The industry contributes largely to the agricultural and manufacturing sectors in the country today and has high potential for commodity development to address pertinent issues of socio economic importance, which impact on rural development, employment and wealth creation.

According to KLDC, in 2013 the leather industry is mainly dependent on the large livestock base from arid and semi-arid areas with an estimated population of 17.5 million cattle, 27.7 million goats, 17.1 million sheep, 3.0 million camels, 1.8 million donkeys and 1.83 million pigs. The industry also derives some of its raw material from the emerging livestock category which includes fish (Nile perch), farm ostriches and farm crocodiles. In 2013, Kenya produced 2.4 million hides, 6 million skins and 20,000 camel hides.

The industry’s contribution to Kenya’s economy currently stood at Kes. 10.6 billion in 2013 with an estimated contribution of 4% to agricultural GDP. Industry earnings from local market dealers are estimated to be Kes 1.8 billion annually and approximately Kes 4 billion is derives from exports of semi-processed and unprocessed leather in Kenya. The industry also employs over 22,540 people through the 14 existing tanneries (a number expected to grow to 21 after completion of 8 mini leather processing units under construction in various regions of the country) and over 85 leather goods units/cottages in Kenya.

#### 4.1.1. Manufacturing

**Hides and Skins subsector** - Over 90% of hides and skins produced in Kenya are exported to external markets in both raw and semi processed form, and 80% of the exports are currently in semi-processed state (otherwise referred to as wet-blue). The sector has transformed from a purely raw material source to relatively modern industry adopting the changing technology and market trends. The transformation has seen Kenya act as a tanning hub for the region through procurement of hides and skins and supply of leather in both local and regional markets, in addition to exports of semi-processed leather (wet-blue) to the international markets.

**Local abattoirs** - According to the Economic Survey 2014, there was a decline in production activities in local abattoirs. The number of cattle slaughtered in the local abattoirs declined from 2.19 million in 2012 to 2.14 million in 2013. This reduction is attributed to good availability of pasture and diminished activities at the Kenya Meat Commission which led to fewer disposals of cattle. However, over the same period, the total number of goats and sheep slaughtered increased from 5.92 million in 2012 to stand at 6.08 million recorded in 2013.

#### 4.1.2. Footwear and Leather Goods Sub-Sector Analysis

The leather goods and footwear subsectors in Kenya have exhibited potential for growth with a 0.3% growth recorded in 2013 and notable efforts by the Government to revamp the industry. However, reports by the 2014 Economic Survey indicate that there was a decline in the production of finished leather and shoes with uppers of leather by 0.4% and 0.2% respectively in the period under review.

Government estimates project that the population in Kenya shall reach 65 million by 2030. Standards of living are also expected to improve as the country aims to achieve the goals of vision 2030; Kenya’s blueprint which seeks to convert the

country into a second world economy. This will ultimately see the average purchasing power of Kenyans go up and in turn the demand for high end consumer goods, including leather goods.

**Footwear** - According to the Leather Development Council of Kenya, the size of the footwear market in the country is 33 million pairs (0.75 pairs per person with a population of 44 million).

About 60% of the retail footwear market (19.8 million pairs) is dominated by new shoes dealers. Bata Shoe Company currently controls 50% of the new shoes retail business with the remaining half being taken by other smaller shoe retailers. In addition to the mass market stores, there are also specialist outlets dealing exclusively with niche high value brands catering to the high end of the market.

The Company plans to tap into the opportunities in the leather industry by providing relevant and high quality products.

## 4.2. INDUSTRY FUTURE OUTLOOK

Kenya's leather industry is yet to realize its full potential in that its success depends on value addition. Value addition is predicated upon skilled capacity, technology, quality control and adequate financing. Lack of rigorous attention to these input parameters results in low quality leather and leather products, leading to low demand in both the domestic and export market. Value addition in the livestock sector has been minimal as evidenced by the fact that most of Kenya's exports have been in the form of raw and unprocessed hides and skins.

In a bid to boost local production in the industry, in 2013 the Government increased export duty on raw hides and skins from 40% to 80% to encourage value addition. This move by the Government will assist local players in optimizing processing capacities, make the local industries more competitive and to a large extent maximize producers' earnings. Industry players are keen on lobbying the Government to increase the duty further to 120 per cent so that Kenya can compete at the same level with its peers, like Ethiopia, which levies 150 per cent on raw hides and skins and 100 per cent on wet blue (semi-processed) leather.

In February 2015, at the 16<sup>th</sup> East African Community Heads of States Summit in Nairobi, the Presidents directed the Council of Ministers to study the modalities for the promotion of textile and leather industries in the region and stopping importation of used clothes, shoes and other leather products. This move is intended to boost local textile and leather industries.

NBV seeks to grow its retail business focussing on leather shoes and accessories as well as establish a leather products manufacturing plant with the initial focus on manufacturing durable shoes for school going children, whose total market size is estimated at about 20 million pairs annually.

## 4.3. KSHOE STRATEGY

The Kenyan middle class is classified into three categories based on their monthly income as follows:

| Class   | Monthly Income Range in Kes |
|---------|-----------------------------|
| Class A | Above 200,000               |
| Class B | 60,000-200,000              |
| Class C | 23,000-60,000               |

Source: Kenya National Bureau of Statistics: 2013

**KShoe** targets Class A and B customers who focus on quality and styles of the products they wish to purchase. The quality, styles and price range of the products offered by **KShoe** suitably matches the demand of these classes.

Further, NBV's strategy is to tap into the 30% market share that is not already served by the existing suppliers. This target represents an estimated market size of about 10 million pairs per year and growing.

There are currently no official statistics available about other leather goods and accessories but **KShoe** have from their retailing experience established that the leather goods and accessories segment can be 20% of the Shoe business. This represents a potential market worth about Kes 150 Million per year for **KShoe** to tap into.

Over time, it is projected that the new shoe market shall grow as the *Mitumba* market shrinks through higher taxation and improved average income of consumers.

With the expected economic growth in Kenya and its middle class the demand and supply gap for quality products will widen further creating room for more expansion for existing players as well as new entrants. **KShoe** is seeking to expand and take advantage of the growing market ahead of other small and mid-sized shoe retailers.

## 5. INFORMATION ON THE COMPANY

### 5.1. OVERVIEW

Nairobi Business Ventures Limited (“NBV” or “The Company”) is a private limited liability company that was incorporated and registered in Kenya in March 2012. NBV’s main business is the retail of leather shoes and leather accessories. NBV started out as a distributor of shoes in Kenya through the brand name ‘Kwaza shoes’. These shoes were imported from China and India and branded in Kenya. The Company later in 2013 changed the brand name from ‘Kwaza’ to ‘**KShoe**’. The Company currently runs six (6) **KShoe** brand retail outlets at prime locations in Nairobi. The **KShoe** brand name is coined from “Kenya Shoe” with the ultimate aim of creating a brand that is entirely Kenyan.

The Company has its registered office at Apricot Suites along 4<sup>th</sup> Parklands Avenue, Nairobi.

### 5.2. HISTORY AND BACKGROUND OF NAIROBI BUSINESS VENTURES LTD

#### 5.2.1. Retail business

NBV was established by Mr. Abotula N. Vasu and Mr. Rajasekhar Srungarapu in March 2012. NBV went into wholesale supply business making their first major supply to Deacons Limited, Nairobi in May 2012. The Company established their first retail outlet at the Village Market Shopping Mall along Limuru Road in Nairobi in 2012. At the same time, NBV acquired three (3) retail outlets that were being run by Service Shoes; a Pakistani Company listed on the Karachi Stock Exchange which was exiting the Kenyan market to focus on the Pakistani market. Two (2) of the three (3) outlets acquired from Service Shoes were in Nairobi’s Central Business District on Kenyatta Avenue and Moi Avenue while the third one was in Ongata Rongai, on the outskirts of Nairobi City Centre. This brought the total number of outlets to four. NBV has been running the four outlets for slightly over 2 years under the name “**KShoe – Leather Accessories**”. The Company opened their newest two outlets at the T-Mall along Lang’ata Road and Capital Centre along Mombasa Road in August and October 2015 respectively.

The Company commenced its operations in June 2012 initially supplying shoes and other leather products to Deacons Limited which retailed various brands through retail outlets in Kenya and other East African countries.

Having understood the potential of leather products retail business in Kenya and the region, the promoters of NBV developed the vision to promote local brands seeing as the market was dominated by foreign brands. With time NBV has felt the necessity of having its own brand and establishing its own reliable supply lines due to inconsistent supplies from suppliers. The Company’s long term plan is to establish a local manufacturing plant for leather shoes and other leather products in the long term. NBV has in the meantime successfully established its own brand, **KShoe**. The shoes are imported mainly from Ethiopia and India and rebranded for sale in Kenya on the **KShoe** brand.

#### 5.2.2. Manufacturing

NBV would like to expand and grow their retail network before venturing into manufacturing. The Company has carried out preliminary feasibility studies to establish viability of a manufacturing plant and is confident that with the Kenya has sufficient raw material from animal hides and skins as well as well managed and successful tanneries with facilities to process raw materials and produce the finished leather that NBV would require.

NBV management believe that the establishment of the leather products manufacturing plant will gradually reduce the Company’s and eventually the country’s dependency on imports and also contribute to job creation in line with the Government’s Vision 2030 goals and objectives.

## The KShoe Brand

In 2013, NBV underwent a rebranding exercise that saw among other things, the introduction of a new corporate identity and rearrangement of shop displays making them more visible and attractive to draw walk-in customers. The Company rebranded from the name 'Kwanza shoes' to '**KShoe**'.

Figure 5: Nairobi Business Ventures Brand

Before rebranding



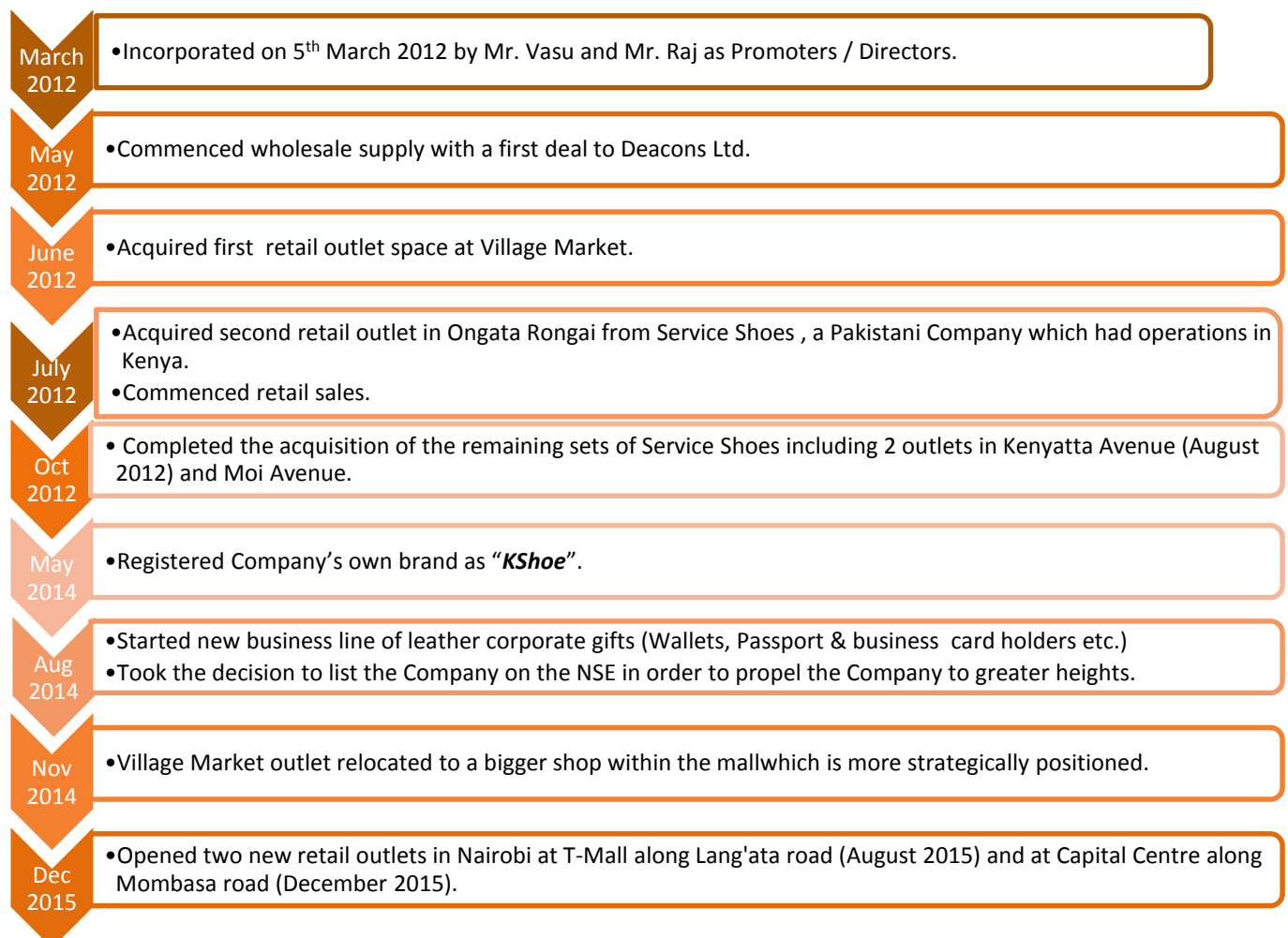
After rebranding



**KShoe** plans to increase its presence in Kenya and in future East Africa initially through retail outlets and eventually through the sale of its manufactured products.

## 5.3. KEY MILESTONES

Figure 6: Nairobi Business Ventures' Key Milestones



## 5.4. FUTURE OUTLOOK

### 5.4.1. Leather Manufacturing in Kenya

Kenya's leather industry potential is high as the country enjoys availability of raw material for leather products in form of hides and skins from local livestock. A study by the Kenya Leather Development Council reveals that manufacturing of raw skins and hides into finished leather creates a value addition of 243%. The value addition is increased to 840% with the manufacturing of leather shoes from finished leather. However, interest to invest in leather manufacturing by local entrepreneurs is still low.

According to the Private Sector Development Strategy under Vision 2030, footwear is a priority subsector for Kenya and the leather manufacturing subsector is considered as one of the key sub-sectors that will boost manufacturing activities within the country. It is anticipated that increased leather processing and leather product manufacturing will boost the country's balance of trade by reducing the need for imported leather products while providing more products for export.

In line with the above, the Kenyan Government on 15<sup>th</sup> January 2015 announced plans to establish a Kes 10 billion Leather City in Kenania, Athi River in a quest to revive the leather industry and increase Kenya's export of leather footwear, bags, and other accessories. The proposed development will be established on 500 acres of land that has been identified in eastern Kenya. This move is in line with the Government's policy to shift the country from an exporter of raw and semi processed hides and skins to finished leather goods.

It is anticipated that the proposed industrial park will feature infrastructure including a common effluent treatment plant and carefully integrated leather and leather goods production facilities which will include tanneries, a training centre, common manufacturing facilities, chemical storage and distribution units and leather goods and accessories production units. The facility dubbed "*Leather City*" will see companies seeking to venture into manufacturing of leather goods receive support from the Government in order to promote growth of the sector. The facility is also expected to generate revenues for the Government and create employment opportunities in developing finished leather goods.

In early 2015, construction of a new leather factory commenced in Ewaso Ng'iro; Narok County. The factory is a project of the Ewaso Ng'iro South Development Authority in partnership with the Leather Development Council, Kenya Investment Authority and the Export Processing Zone Kenya. The new factory plans to source raw leather from livestock farmers in the Rift valley and South Nyanza regions of Kenya as well as the Northern parts of Tanzania. This further indicates the significant opportunity in the leather manufacturing in.

The leather sector in Kenya is currently valued at an estimated Kes 27 billion, but industry stakeholders say the proposed Government intervention will result in a Kes 90 billion industry.

### 5.4.2. NBV Prospects

In the next three (3) years, NBV has plans to open at least five (5) more outlets in Nairobi and aims to have at least fifteen (15) outlets in the country by the end of 2020.

During the first five (5) years, NBV would like to establish the first local shoe manufacturing factory in Kenya and indeed East Africa. The Company plans to set up a leather manufacturing plant within the above mentioned Government facility where it will produce **KShoe** branded footwear and accessories while utilising raw material purchased from local producers, mostly farmers.

The Board of Directors is committed and devoted to ensuring that the Company enhances stakeholder value by laying and implementing strategies for growth.

## 5.5. KSHOE PRODUCTS AND OUTLETS

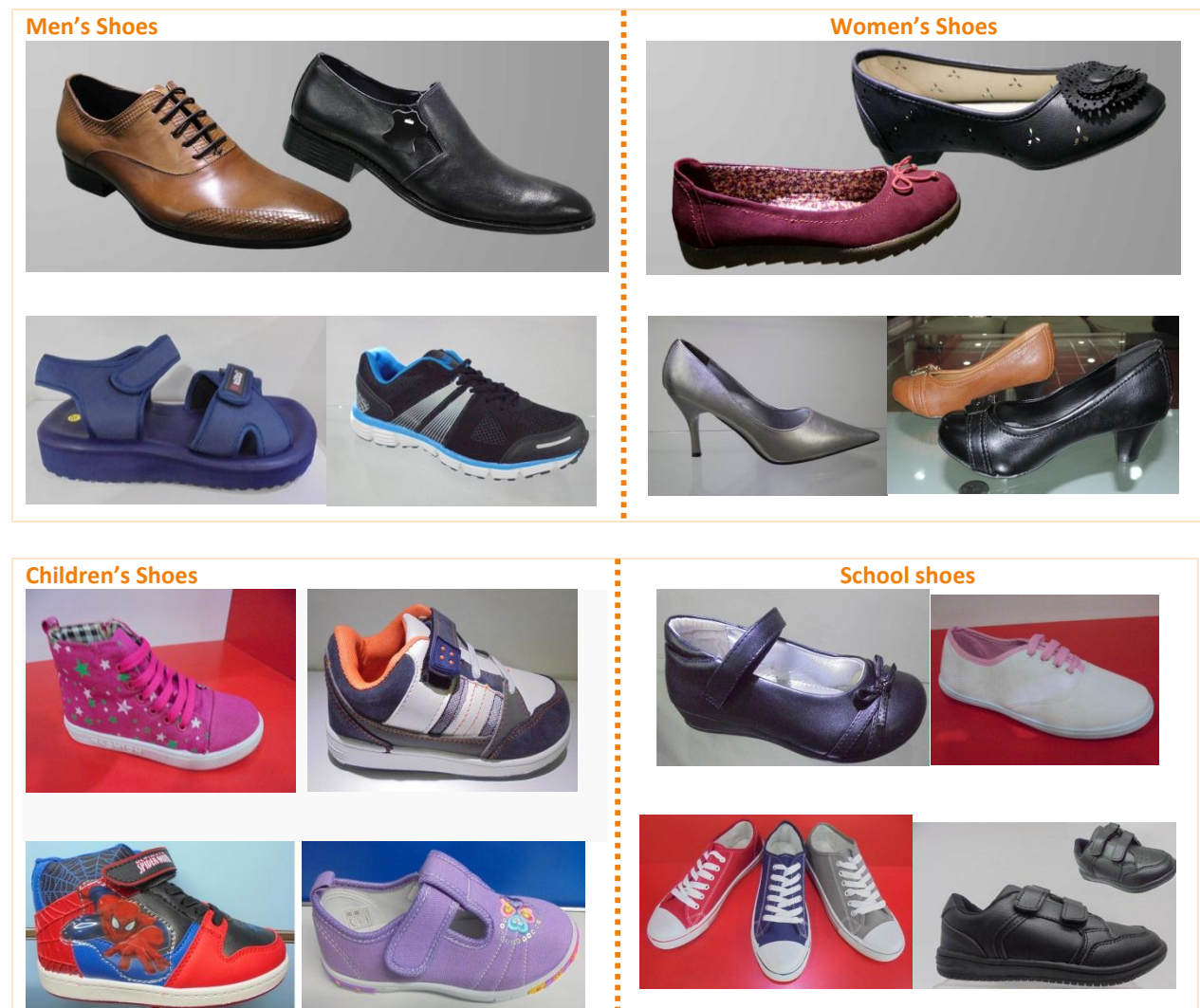
So far **KShoe** is the first Kenyan footwear retail brand in the country. The **KShoe** brand is expanding on sizeable scale having grown to having 5 retail outlets within a period of 3 years. With the proposed establishment of a **KShoe** branded leather products manufacturing plant, NBV will not only have the advantage of retaining its own high quality leather products but it was also have an existing retail chain network for product distribution. So far, only BATA Shoe Company in Kenya has been able to achieve this.

**KShoe** is currently recognised as a source of high end comfort shoes and genuine leather accessories specifically targeting the growing middle class market in Kenya.

### 5.5.1. Footwear

NBV currently retails genuine leather shoes for men, women and children (including school shoes) samples of which are shown below.

Figure 7: Sample Footwear Products



### 5.5.2. Leather Accessories

In addition to footwear, NBV retails leather handbags, purses and belts and recently introduced leather gift articles including wallets and passport holders samples of which are shown below.

Figure 8: Sample Products



They Company's key Strategies for ensuring customer satisfaction include close mirroring of fashion trends, staff motivation and a strong value proposition.

### 5.6. RETAIL OUTLETS

The Company uses various strategies to identify location of retail outlets. In the central business district for instance, foot traffic, location of bus termini, presence of government offices as well as certain professional firms (e.g. audit, legal, commercial banks etc.) are key determinants of shop locations. Foot fall in the malls, parking area, anchor tenant (such as super markets) and proximity to middle to high end residential areas also determine the Company's set up in Malls.

Currently, NBV has six (6) retail outlets as shown in the table below and has already identified retail spaces in Kisumu, Nairobi, and Eldoret where they hope to set up by March 2017.

**Table 9: Current Location of NBV Retail Outlets**

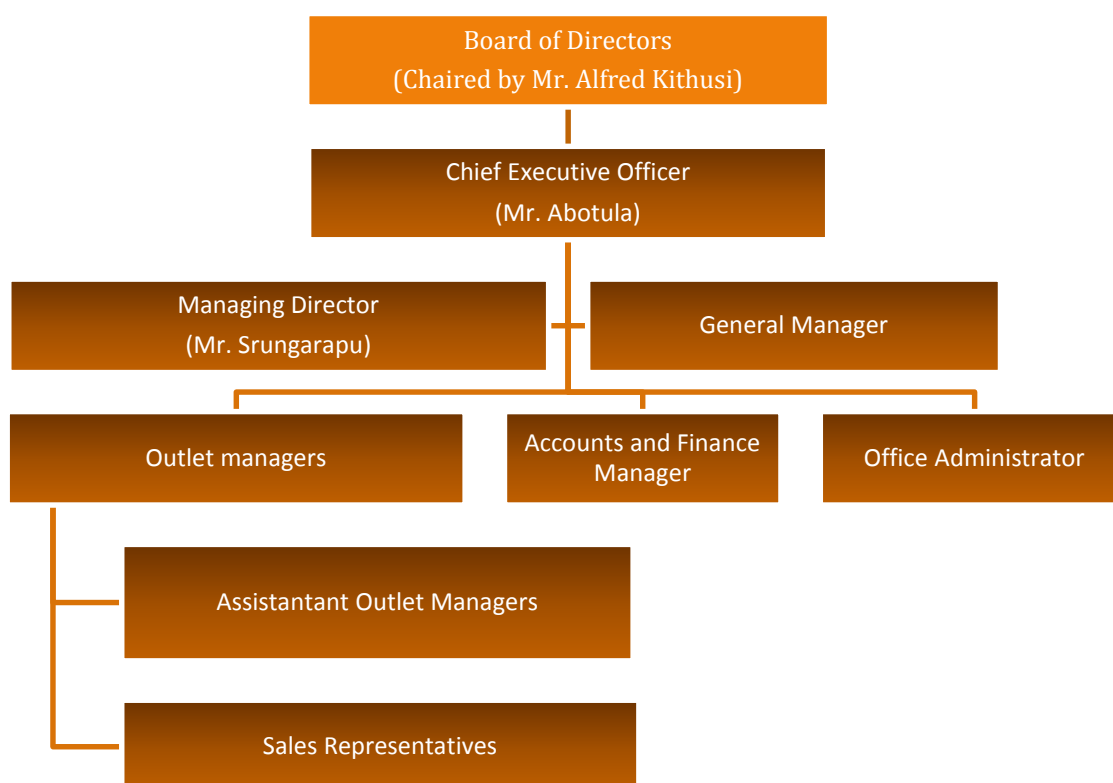
| Kenyatta Avenue    | Moi Avenue               | Village Market   | Ongata Rongai    | T-Mall                                  | Capital Centre        |
|--------------------|--------------------------|------------------|------------------|-----------------------------------------|-----------------------|
| 680 Hotel Building | Opposite School Uniforms | Ground Floor     | Next to Tuskys   | 1 <sup>st</sup> Floor, Next to DTB Bank | 1 <sup>st</sup> Floor |
| +254 726 885 045   | +254 723 505 767         | +254 725 935 542 | +254 723 111 231 | +254 723 111 231                        |                       |

In early 2014, the village market outlet was closed down temporarily to allow the landlord complete renovation work at the mall. This closure had an impact on the expected sales volumes for the year but other outlets surpassed their expected sales volumes to marginally make up for this. The Company re-opened the outlet in November 2014 having acquired a bigger shop within the mall. This outlet has a new look ultra-modern set up, which will set the standards for all upcoming *KShoe* outlets in terms of set-up and ambience.

In August 2015, the Company acquired retail space at the Capital Centre along Mombasa road and at the T-Mall along Lang'ata road. The T-Mall shop was opened in August while the Capital Centre outlet was opened in December 2015.

## 5.7. ORGANISATION STRUCTURE

**Figure 9: NBV Business Organisation Chart**



**Source:** Nairobi Business Ventures Limited

## 6. DIRECTORS AND SENIOR MANAGEMENT TEAM

### 6.1. BOARD OF DIRECTORS

#### **Alfred Nzomo Kithusi (Non-Executive Chairman, Independent)**

Mr. Kithusi was appointed a non-executive director on 19th September 2014 and appointed Chairman on 22nd December 2015. He is a Certified Public Accountant and holds Bachelors and Masters Degrees in Business Administration from United States International University. He is currently a PhD student in Business Administration (majoring in entrepreneurship) at the University of Nairobi. Mr. Kithusi has held senior management positions with Pricewaterhousecoopers (in Kenya and the United Kingdom), Strategic Consultants Limited, Dolphin Group, Sameer Investments Limited, East African Cables, Firestone East Africa, Sameer Africa Limited, Kensta Group and Deacons Group prior to joining Hillcrest Investments Limited in 2012 (to date) as Finance and Operations Director. He has vast experience in areas of financial management, business management and leadership, consultancy, retail operations, hotels and tourism industry, corporate acquisitions, joint venture, manufacturing, educational services, banking ,operations and strategy. He has very good commercial exposure to managing business operations in Kenya, Uganda, Tanzania and Rwanda.

#### **Vasu Abotula (Executive, Non-Independent)**

Mr. Abotula is an experienced senior management professional with over 25 years of working experience in senior management positions. He holds a Bachelor of Commerce, (B. Com) from Andhra University, India. He also holds a Bachelor of Law (LL.B), A.C.A qualification from Osmania University, Hyderabad, India and is a Certified Public Accountant of Kenya. He has also ventured into business and has established himself as a successful entrepreneur. He has controlling stakes in several companies including: Swasthika Investors Ltd (a holding company) and Zebra Lounge Ltd. His ventures have given him relevant and requisite experience in initiation, expansion and diversification of business. Mr. Abotula has also gained significant management experience from his roles in the positions below which he has previously held:

**Table 10: Mr. Abotula's Past Experience**

| Position                                                             | Company                                                       |
|----------------------------------------------------------------------|---------------------------------------------------------------|
| Finance Manager (Dec 1989 – Jan 1996)                                | Priyadarsini Thread Ltd, Textile Industry, India              |
| Director Finance (Feb 1996 to Mar 2000)                              | Arun Dyeing (p) Ltd, India, Textile Industry, India           |
| Finance Controller (Jun 2000 to Nov 2005)                            | Alpharama Ltd*, Leather Tannery, Kenya                        |
| General Manager (Mar 2006 to Nov 2006)                               | Mombasa Salt Works Ltd, Salt Manufacturing, Kenya             |
| General Manager (Finance & Administration)<br>(Jan 2007 to Jun 2010) | Kenya Stationers Ltd (Kensta Group), Printing Industry, Kenya |

\*Alpharama is currently one of the most successful tanneries in Kenya. The group has another tannery in Uganda and is also present in other East African countries.

Mr. Abotula also holds directorship in the following companies:

**Table 11: Mr. Abotula's Directorship Positions**

| Position                     | Company                                          |
|------------------------------|--------------------------------------------------|
| Swasthika Investors Ltd      | Investment Company                               |
| Zebra Lounge Ltd             | Bar & Restaurant, Capital Centre, Nairobi        |
| Hidden Agenda Lounge Ltd     | Bar & Restaurant, Sarit Centre, Nairobi          |
| Mystique Management Ltd      | Mystique Gardens Restaurant, Parklands, Nairobi  |
| Nakuru Business Ventures Ltd | Oyster Shell, Bar & Restaurant, Milimani, Nakuru |

### **Rajasekhar Srungarapu – Managing Director (Executive, Non-Independent)**

Mr. Srungarapu is a Marketing Professional with more than 17 years of working experience in senior management positions with multinational companies. He holds an MBA in Marketing from the India affiliate college of New Port University (US), in Bangalore with specialization in Export and Import Management and a Diploma in Printing Technology. His core areas of experience are Sales, Marketing, Supply Chain Management, Distribution and Import and Exports. Mr. Srungarapu has also ventured into business and has established himself as a successful entrepreneur. He also has controlling stakes in several companies in partnership with Mr. Abutola including: Swasthika Investors Ltd (a holding company) and Zebra Lounge Ltd. His ventures have given him the relevant and requisite experience in initiation, expansion and diversification of business.

Mr. Srungarapu's previous management experience was gained in the following positions:

**Table 12a: Mr. Srungarapu's Past Experience**

| Position                                                      | Company                                                          |
|---------------------------------------------------------------|------------------------------------------------------------------|
| Marketing Executive (Nov 1992 to Mar 2002)                    | Technova Imaging Systems (Pvt) Ltd, and Printing Industry, India |
| General Manager - Sales & Marketing<br>(May 2002 to Mar 2012) | Transpaper Kenya (Kensta Group), Printing Industry, India        |

Mr. Srungarapu also holds directorship in the following companies:

**Table 13b: Mr. Srungarapu's Directorship Positions**

| Position                     | Company                                          |
|------------------------------|--------------------------------------------------|
| Swasthika Investors Ltd      | Investment Company                               |
| Zebra Lounge Ltd             | Bar & Restaurant, Capital Centre, Nairobi        |
| Hidden Agenda Lounge Ltd     | Bar & Restaurant, Sarit Centre, Nairobi          |
| Mystique Management Ltd      | Mystique Gardens Restaurant, Park Lands, Nairobi |
| Nakuru Business Ventures Ltd | Oyster Shell, Bar & Restaurant, Milimani, Nakuru |

### **Simon Sali Malonza (Non-Executive, Independent)**

Mr. Malonza was appointed a non-executive director on 19<sup>th</sup> September 2014. He holds Bachelor of Laws (LLB) from the University of London and a Diploma in Law from Kenya School of Law. He also holds a Degree in Quantity surveying from University of Nairobi – College of Architecture and Engineering. He is also a member and currently undertaking training to become a Fellow of the Chartered Institute of Arbitrators of Kenya. Mr. Malonza is an expert in dispute resolutions. Mr. Malonza has worked as a Principal Partner in S.S Malonza & Co Advocates, an Associate Partner at Njonjo Okello & Associates, a Director at SERA LTD a Construction Company undertaking business development, tendering, project management and implementations as well as General Manager at Trax Construction Ltd, Southern Sudan. He has also been involved as a site engineer on various road construction sites throughout the country and as a consultant engineer on many large scale projects.

### **Jayesh Himatlal Nagrecha (Non-Executive, Independent)**

Mr. Nagrecha was appointed a non-executive director on 19<sup>th</sup> September 2014. He is an accountant by profession with over 25 years' experience gained in India and Kenya. He has a wealth of experience in finance, corporate planning, taxation and strategic management acquired over his many years working with companies in different sectors. Some of the positions he has held include; Accounts Manager at Mehta Race Products in India, Investment Consultant at Nagrecha Investment and Financial Consultants in India, Chief Accountant with Rhythm Electronics in India, General Manager Finance at Corporate Insurance Company Limited in Kenya, Partner with Sunil Davda & Co. He has been a Director with Corporate Insurance Company Ltd for the past 4 years and is the Chairman of Board Audit Committee. Mr. Nagrecha is confident in developing and implementing financial information system including budgetary as well as internal control systems. He has a sound knowledge of investment and economic theory and is good at portfolio management.

## **6.2. SENIOR MANAGEMENT**

NBV has taken a “lean at the top” approach to management. Two (2) of the directors, Mr. Abotula and Mr. Srungarapu are fully involved in the day to day running of the affairs of the Company and are the key decision makers.

## **6.3. COMPETENCE AND SUITABILITY OF DIRECTORS AND MANAGEMENT**

NBV has a board which is highly professional as evident from the profiles of its directors. The entire Board is composed of professionals with high level experience in Finance, Marketing, Legal, Retailing, Corporate Management and other fields of knowledge required to successfully run a growth oriented company. The detailed profiles of the directors are shown on Section 6.1 above. The duties, responsibilities and entitlements of directors are stated clearly in the Company’s Memorandum and Articles of Association.

All directors are paid directors’ fees as determined by the Board Nominations and Remuneration Committee.

## **6.4. EMPLOYEES**

NBV Limited employs 39 permanent staff currently comprising 4 staff at the head office and 35 staff at the 6 outlets. Each outlet requires an average of 6 members of staff. Each outlet has a manager, an assistant manager and sales representatives. The larger outlets have more sales representatives. During busy periods/ seasons, extra sales representatives are hired as casual workers in order to meet the demand and provide personalised services to the customers. Most of the staff at *KShoe* outlets is drawn from various retail outlets in the country where they have gained experience in the leather products retail sector.

The management has put in place a clear staff growth and development plan where all vacancies in the outlets are filled internally. This creates a growth path for junior staff to be promoted into management.

The directors and employees do not trade with the Company and do not hold any personal interests in the normal day to day transactions of the Company. Accordingly, there have been no unusual transactions with the Company involving the directors or employees in their private capacities.

The directors and employees do not have any outstanding loans and/or guaranteed granted by any member of the Company for their benefit.

There were no arrangements under which the directors of the Issuer have waived or agreed to waive future emoluments together with particulars of waivers of such emoluments in force at the date of the Listing Statement.

There were no amounts payable to directors or proposed directors of the Issuer, by any member of the Company for the current financial year under the arrangements in force at the date of the Listing Statement. All director related fees are included in the projected financials of the Company appended to this Listing Statement.

At the date of this Listing Statement, there were no arrangements or understanding with major security holders, customers, suppliers or others, pursuant to which any directors, senior management and founders of the Company were selected as a director or member of senior management.

## 7. SHAREHOLDING & CORPORATE GOVERNANCE

### 7.1. SHAREHOLDERS

Table 14: NBV Shareholder's Schedule before Private Placement

| Name                     | Number of shares  | Percentage of Shares |
|--------------------------|-------------------|----------------------|
| Vasu Abotula             | 8,198,350         | 45.55%               |
| Rajasekhar Srungarapu    | 8,198,350         | 45.55%               |
| Kotha Panduranga Vittal  | 1,500,000         | 8.33%                |
| David Ogega Nyaboga      | 60,000            | 0.33%                |
| Alfred Nzomo Kithusi     | 20,000            | 0.11%                |
| Simon Malonza            | 20,000            | 0.11%                |
| Swasthika Investors Ltd* | 3,300             | 0.02%                |
| <b>Total</b>             | <b>18,000,000</b> | <b>100.00%</b>       |

\*Swasthika Investors Ltd is owned 50% by Vasu Abotula and 50% by Rajasekhar Srungarapu.

#### 7.1.1. Shareholding following the Private Placement:

Table 15: NBV Shareholder's Schedule after Private Placement

| Name                    | Number of shares  | Percentage of Shares |
|-------------------------|-------------------|----------------------|
| Vasu Abotula            | 8,198,350         | 34.739%              |
| Rajasekhar Srungarapu   | 8,198,350         | 34.739%              |
| Kotha Panduranga Vittal | 1,500,000         | 6.356%               |
| David Ogega Nyaboga     | 60,000            | 0.254%               |
| Alfred Nzomo Kithusi    | 20,000            | 0.085%               |
| Simon Malonza           | 20,000            | 0.085%               |
| Swasthika Investors Ltd | 3,300             | 0.013%               |
| New Shareholders        | 5,600,000         | 23.729%              |
| <b>Total</b>            | <b>23,600,000</b> | <b>100.000%</b>      |

As at the date of this Listing Statement, there were no arrangements or material inter-company finance relations, known to the Issuer, the operation of which may at a subsequent date result in a change in control of the Issuer.

With the exception of the founder members, none of the shareholders owns an amount of securities in the Issuer or its related companies which is material to them, or has a material; direct or indirect economic interest in the Issuer or that depends on the success of the Listing.

### 7.2. CORPORATE GOVERNANCE

NBV has five (5) directors who are responsible for the implementation of the Company's strategy. NBV directors' recognize the need to conduct the business and operations of the Company with integrity and in accordance with generally accepted corporate practice and will aim at promoting corporate accountability and business aptness to achieve an optimal shareholder value, whilst simultaneously taking into consideration the interests of other stakeholders. All the directors meet the fit and proper test as required by the NSE.

The Company's Board of Directors undertake to meet regularly to evaluate its collective and individual functions. Where necessary, the Board may obtain the services of external facilitators to guide the evaluation process. Two (2) of the Company's five (5) directors have completed the Directors Induction Programmes as at the date of the Listing.

### 7.3. RESPONSIBILITIES OF THE BOARD

The Board is tasked with directing the affairs of the Company so as to ensure that the interests and objectives of the Company are achieved in a transparent, accountable and responsible manner. The NBV Board is expected to act with a high level of professionalism, integrity, independence and transparency.

The specific roles of the Board include, among others:

- Defining and charting the Company's vision, mission and values;
- Determining the Company's short term and long term strategy;
- Discussing and approving strategic plans and annual budgets;
- Ensuring implementation of the defined strategic plans and financial objectives;
- Ensuring that a comprehensive system of policies and procedures is in place and that appropriate governance structures exist to ensure the smooth, efficient and prudent stewardship of the Company;
- Ensuring compliance by the Company with all relevant laws, regulations, audit and accounting principles, and such other principles and/or regulations as may be established by the Board from time to time;
- Ensuring the business is managed with a view to ensuring that the Company is ethical in all its dealings;
- Ensuring the Company's organizational structure and capability are appropriate for strategy implementation;
- Setting policies on internal control and obtaining regular assurance that the system is functioning by overseeing the internal audit function;
- Nominating board members who will add value to the board processes;
- Appointing the managing director, senior staff, external auditors and other consultants;
- Communicating key policies and strategy issues to senior management;
- Identifying all stakeholders and ensure effective communication with shareholders and stakeholders;
- Ensuring the interests of all stakeholders are protected in line with the objectives and values of the Company;
- Delegating matters to the management with the necessary written authority as they deem necessary.

### 7.4. BOARD COMMITTEES

The Board has established the following three (3) committees.

#### 7.4.1. Risk Committee

The purpose of the Risk Committee will be to assist the Board in identification of possible risks that the business could face and suggest risk control measures. Members of the NBV Risk Committee will be:

- Mr. Simon Malonza.
- Mr. Alfred N. Kithusi
- Mr Vasu Abotula and

The Committee will be chaired by Mr. Simon Malonza.

#### 7.4.2. Audit Committee

The Audit Committee assists the Board in assessing and ensuring the integrity of the Company's financial statements and reports. The members of NBV's audit committee will be:

- Mr. Jayesh H. Nagrecha,
- Mr. Simon Malonza,
- Alfred Kithusi and
- An Authorized Representative of the Nominated Advisor.

Mr. Alfred Kithusi will chair the Audit Committee.

### **7.4.3. Nominations, Remuneration and Compensation Committee**

The purpose of the Nominations and Remuneration Committee is to assist the Board ensure there is a clear compensation and remuneration policy for all employees and Executive Directors of the Company. The committee will review compensation and make recommendations on the remuneration of employees and Directors from time to time.

To determine this, the Committee will take into consideration, amongst others:

- The prevailing market rates/ director's fees applicable to similar organizations in the industry;
- Hours spent by the directors in preparation and attending NBV board meetings;
- Any additional costs that the directors may incur while performing their duties; and
- The frequency of meetings held in a year.

The committee will also nominate and approve nomination of individuals into the board of directors.

The members of this committee will be:

- Mr. Simon S. Malonza
- Mr. Rajasekhar Srungarapu and
- Mr. Jayesh H. Nagrecha.

The committee will be chaired by Mr. Jayesh H. Nagrecha.

## 8. OPERATIONAL AND FINANCIAL REVIEW

### 8.1. HISTORICAL PERFORMANCE

NBV Limited has been in operations for close to four (4) years having commenced operations in June 2012. The Company's financial year ends in March. The analysis below covers the audited accounts for the three (3) years ending March 2013 to March 2015 and management accounts for the year ending March 2016.

All the Issuers accounts are in Kenya Shillings.

#### Income Statement:

Table 16: Statement of Comprehensive Income

| Amounts in Kes '000'                  | March<br>2013 | March<br>2014 | March<br>2015 | March<br>2016 | CAGR<br>2013-2015 |
|---------------------------------------|---------------|---------------|---------------|---------------|-------------------|
| <b>Revenue</b>                        | 45,255        | 71,972        | 74,140        | 85,108        | 31.91%            |
| Cost of Sales                         | 20,433        | 32,376        | 31,285        | 31,440        | 26.56%            |
| <b>Gross Profit</b>                   | <b>24,822</b> | <b>39,596</b> | <b>42,854</b> | <b>53,667</b> | <b>36.32%</b>     |
| Administrative and operating expenses | 22,737        | 26,978        | 27,650        | 36,152        |                   |
| <b>EBIT</b>                           | 2,085         | 12,618        | 15,204        | 17,515        |                   |
| Finance cost                          | 508           | 1,516         | 11,286        | 11,196        | 1,059.95%         |
| Profit before tax                     | 1,577         | 11,102        | 3,919         | 6,318         | 74.24%            |
| Income tax expense                    | 473           | 3,330         | 1,176         | 1,895         | 74.24%            |
| <b>Profit after tax</b>               | <b>1,104</b>  | <b>7,771</b>  | <b>2,742</b>  | <b>4,423</b>  | <b>74.24%</b>     |

#### Revenue

NBV's revenues have grown considerably over the three (3) years recording a CAGR of 31.91% between March 2013 and March 2015. This growth was underpinned by increased sales following rebranding from Kwanza to **KShoe** and rearrangement of shop displays making them more visible and attractive to draw walk-in customers. Growth in sales in the year ended March 2015 was marginal and not as high as in the previous year. This slow growth was attributed to the relocation of the Village Market outlet to a bigger shop at the same premises in November 2014. Following the relocation, the outlet now records the highest monthly sales among the six (6) outlets. Revenues grew by 15% in the year ended March 2016 supported by increasing sales from existing outlets. Revenues are expected to grow even more strongly in the year to March 2017 as new outlets establish themselves and contribute significantly to the top line.

#### Expenses

Due to the start-up nature of the business, the Company's operation costs mainly related to setting up, rebranding and renovation of retail outlets. These expenses stood at 50% of revenue in March 2013 and 37% of revenues in both March 2014 and March 2015. The percentage of setting up and operation expenses in relation to revenue is expected to reduce in the coming years as the Company streamlines operations and benefits from economies of large scale as more outlets are opened.

## Profits

In its first year of operations, the Company made a profit after tax (PAT) of Kes 1.1 million and recorded a Kes 7.8 million PAT in the second year. Profit before tax in the year ended March 2015 recorded a significant decline attributed to increased finance costs. The Company had borrowed from the banks to finance its relocation and expansion initiatives during the period under review. The operating margins have been good with the gross profit margins maintained at above 54% over the three years of operation.

Net profit margins grew from 2% in the year ended March 2013 to 12% in March 2014. The margins reduced to 3.7% in 2015 due to the high costs of financing. The margins rose to close at 5.2% in March 2016 following improved gross margins. There was improved return on assets of 9% in March 2016 from 6% in March 2015.

No dividends have been declared in the four years with the directors showing a clear intention to plough back the earnings for re-investment and in particular to aid expansion.

## Key ratios:

The table below outlines the key financial ratios of the Company over the last three years of operations and the three months to June 2015.

**Table 17: Key Financial Ratios**

| KEY RATIOS    | March 2013 | March 2014 | March 2015 | March 2016 |
|---------------|------------|------------|------------|------------|
| GP Margin     | 55%        | 55%        | 58%        | 63%        |
| NP Margin     | 2%         | 11%        | 4%         | 5%         |
| ROE           | 10%        | 41%        | 6%         | 9%         |
| ROA           | 2%         | 10%        | 2%         | 3%         |
| Current Ratio | 1.48       | 1.98       | 1.98       | 2.73       |
| Quick Ratio   | 0.25       | 0.89       | 0.19       | 0.65       |

## Statement of Financial Position:

Table 18: Statements of Financial Position

| Amounts in Kes '000'                        | March 2013           | March 2014           | March 2015           | March 2016            | CAGR<br>2013-2015    |
|---------------------------------------------|----------------------|----------------------|----------------------|-----------------------|----------------------|
| <b>Capital employed</b>                     |                      |                      |                      |                       |                      |
| Share Capital                               | 100                  | 100                  | 18,000               | 18,000                |                      |
| Shares pending allotment                    | 9,900                | 9,900                | -                    | -                     |                      |
| Retained earnings                           | 1,104                | 8,875                | 11,618               | 16,041                |                      |
| Revaluation reserve                         | -                    | -                    | 15,802               | 15,802                |                      |
|                                             | <b>11,104</b>        | <b>18,875</b>        | <b>45,420</b>        | <b>49,843</b>         | <b>154.53%</b>       |
| <b>Non-current liabilities</b>              |                      |                      |                      |                       |                      |
| Borrowings                                  | 14,275               | 28,125               | 24,829               | 66,468                |                      |
| <b>Total equity and liabilities</b>         | <b><u>25,379</u></b> | <b><u>47,000</u></b> | <b><u>70,250</u></b> | <b><u>116,312</u></b> | <b><u>88.40%</u></b> |
| Represented by                              |                      |                      |                      |                       |                      |
| <b>Non-current assets</b>                   | 15,894               | 15,267               | 29,410               | 48,489                |                      |
| Total non-current assets                    | <b>15,894</b>        | <b>15,267</b>        | <b>29,410</b>        | <b>48,489</b>         | <b>42.52%</b>        |
| <b>Current assets</b>                       |                      |                      |                      |                       |                      |
| Inventories                                 | 24,296               | 35,259               | 74,3223              | 81,524                |                      |
| Trade and other receivables                 | 4,415                | 27,926               | 7,427                | 24,566                |                      |
| Cash and cash equivalents                   | <u>483</u>           | <u>1,042</u>         | <u>599</u>           | <u>834</u>            |                      |
| Total current assets                        | <b><u>29,194</u></b> | <b><u>64,227</u></b> | <b><u>82,350</u></b> | <b><u>106,924</u></b> | <b><u>91.04%</u></b> |
| <b>Current liabilities</b>                  |                      |                      |                      |                       |                      |
| Trade and other payables                    | 19,237               | 22,918               | 3,259                | 15,484                |                      |
| Bank Overdrafts                             | -                    | 5,771                | 33,272               | 21,720                |                      |
| Deferred tax                                | 473                  | 3,803                | 4,979                | 1,895                 |                      |
| Total current liabilities                   | <b><u>19,710</u></b> | <b><u>32,493</u></b> | <b><u>41,510</u></b> | <b><u>39,101</u></b>  | <b><u>55.30%</u></b> |
| <b>Net Current assets (Working capital)</b> | <b><u>9,484</u></b>  | <b><u>31,733</u></b> | <b><u>40,839</u></b> | <b><u>67,823</u></b>  |                      |
| Net Assets                                  | <b><u>25,379</u></b> | <b><u>47,000</u></b> | <b><u>70,250</u></b> | <b><u>116,312</u></b> | <b><u>88.40%</u></b> |

### Capital

The two founding shareholders (Mr. Vasu and Mr. Srungarapu) contributed Kes 100,000 as starting capital and put in an additional Kes 9,900,000 in 2013 bringing the total share capital to Kes 10,000,000. The return on equity was 10% in the first year and 41% in the second year showing significant growth and attractive returns. Returns on assets and equity declined in 2015 following the decline in profits and the injection of capital during the year but recovered in 2016 following increased profitability. All earnings from the first four years of operations have been retained for re-investment.

### Borrowings

The borrowings constitute a long term loan from the Company's principal bankers with a maximum limit of Kes 100 million. The loan is payable in 60 monthly instalments at an interest rate of 19%. The Directors project that the loan will be repaid in full by the end of the March 2019 to March 2020 financial year.

The Company has not disposed-off any property during the years under review nor does it have any loans receivables noted as at the date of this Listing Statement.

## Liabilities

As at the date of this Listing Statement, the Issuer had no material commitments, lease payments and contingent liabilities or guarantees nor has the Company received any indemnity, guarantee or commitments from vendors.

## Tax Liability

The tax liability reflected in the statement of financial position is the total corporate tax payable from the last three (3) years of operations. These payables were disclosed and stated as unpaid in the March 2015 Audited Accounts and on page 13 Note 6 of the Accountants Report. However, as at 10<sup>th</sup> March 2016, the outstanding tax payable had been paid and clearance received from the Kenya Revenue Authority.

## Statement of Cash flows

Table 19: Consolidated Statement of Cash flows

| Amounts in Kes '000'                                   | March 2013           | March 2014            | March 2015            | June-2015<br>(3 months) |
|--------------------------------------------------------|----------------------|-----------------------|-----------------------|-------------------------|
| <b><u>Operating Activities</u></b>                     |                      |                       |                       |                         |
| Cash from/(used in) operations                         | (6,644)              | 6,768                 | (21,938)              | 8,665                   |
| Interest paid                                          | (508)                | (1,516)               | (11,286)              | (10,159)                |
| Tax                                                    | -                    | -                     | 278                   | (4,979)                 |
| NET CASH (used in) generated from operating activities | <b>(7,152)</b>       | <b>5,252</b>          | <b>(33,502)</b>       | <b>(6,473)</b>          |
| <b><u>Investing Activities</u></b>                     |                      |                       |                       |                         |
| Purchase of PPE                                        | (5,109)              | -                     | (1,730)               | (23,380)                |
| NET CASH (used in) generated from investing activities | <b>(5,109)</b>       | <b>-</b>              | <b>(1,730)</b>        | <b>(23,380)</b>         |
| <b><u>Financing Activities</u></b>                     |                      |                       |                       |                         |
| Cash from share capital introduced                     | 100,000              | -                     |                       |                         |
| Share Application                                      | 9,900                | -                     | 8,000                 | -                       |
| Net movement in borrowings                             | 14,275               | (10,464)              | 24,829                | 41,639                  |
| NET CASH (used in) generated from financing activities | <b>24,275</b>        | <b>(10,464)</b>       | <b>32,829</b>         | <b>41,639</b>           |
| Increase/(Decrease) in cash and cash equivalents       | <b><u>12,013</u></b> | <b><u>(5,213)</u></b> | <b><u>(2,402)</u></b> | <b><u>11,786</u></b>    |
| <b><u>Movement in cash and cash equivalents</u></b>    |                      |                       |                       |                         |
| At start of the year                                   | -                    | 12,013                | 6,801                 | (4,398)                 |
| Increase/(Decrease)                                    | 12,013               | (5,213)               | <b><u>(2,402)</u></b> | <b><u>11,786</u></b>    |
| At the end of the period                               | 12,013               | (6,801)               | 4,398                 | 16,184                  |

## 8.2. FINANCIAL PROJECTION

### 8.2.1. Projected Income Statement:

Table 20: Projected Income Statement

| YEAR                                  | 2016-17 F           | 2017-18 F            | 2018-19 F            | 2019-20 F            | 2020 -21 F           |
|---------------------------------------|---------------------|----------------------|----------------------|----------------------|----------------------|
| Sales Revenue                         | 132,300             | 191,124              | 262,469              | 348,530              | 451,856              |
| Cost of Sales                         | 59,535              | 86,006               | 118,111              | 156,839              | 203,335              |
| Gross profit                          | 72,765              | 105,118              | 144,358              | 191,692              | 248,521              |
| Operating and administration expenses | 39,392              | 57,761               | 76,168               | 93,705               | 113,404              |
| Operating Profit/EBITDA               | 33,373              | 47,357               | 68,190               | 97,986               | 135,117              |
| Depreciation                          | 7,266               | 8,279                | 9,142                | 9,882                | 10,518               |
| Finance Costs                         | 11,964              | 8,364                | 6,564                | 4,764                | 2,964                |
| Profit before tax                     | 14,143              | 30,714               | 52,484               | 83,340               | 121,634              |
| Taxation                              | 4,255               | 9,230                | 15,763               | 25,021               | 36,510               |
| <b>Profit after tax</b>               | <b><u>9,888</u></b> | <b><u>21,484</u></b> | <b><u>36,721</u></b> | <b><u>58,319</u></b> | <b><u>85,124</u></b> |

### 8.2.2. Projected Statement of Financial Position:

Table 21: Projected Balance Sheet

| YEAR                             | 2016-17 F             | 2017-18 F             | 2018-19 F             | 2019-20 F             | 2020 -21 F            |
|----------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| <b><u>Non-current Assets</u></b> |                       |                       |                       |                       |                       |
| Furniture and fittings           | 47,709                | 53,996                | 59,496                | 64,309                | 68,520                |
| Computers and software           | 914                   | 1,148                 | 1,305                 | 1,411                 | 1,481                 |
| Total Non-current assets         | <u>48,623</u>         | <u>55,144</u>         | <u>60,802</u>         | <u>65,720</u>         | <u>70,002</u>         |
| <b><u>Current Assets</u></b>     |                       |                       |                       |                       |                       |
| Inventories                      | 59,535                | 86,006                | 118,111               | 156,839               | 203,335               |
| Cash and bank balances           | 45,964                | 28,869                | 23,178                | 34,306                | 66,401                |
| Total current assets             | <u>105,499</u>        | <u>114,875</u>        | <u>141,289</u>        | <u>191,144</u>        | <u>269,736</u>        |
| Total Assets                     | <u>154,123</u>        | <u>170,019</u>        | <u>202,090</u>        | <u>256,864</u>        | <u>339,737</u>        |
| Current liabilities              |                       |                       |                       |                       |                       |
| Bank overdraft                   | -                     | -                     | -                     | -                     | -                     |
| Trade Creditors                  | 9,923                 | 14,334                | 19,685                | 26,140                | 33,889                |
| Total current liabilities        | <u>9,923</u>          | <u>14,334</u>         | <u>19,685</u>         | <u>26,140</u>         | <u>33,889</u>         |
| <b>Net Assets</b>                | <b><u>144,200</u></b> | <b><u>155,684</u></b> | <b><u>182,405</u></b> | <b><u>230,724</u></b> | <b><u>305,848</u></b> |
| <b><u>Equity</u></b>             |                       |                       |                       |                       |                       |
| Share Capital                    | 23,600                | 23,600                | 23,600                | 23,600                | 23,600                |
| Share premium                    | 22,400                | 22,400                | 22,400                | 22,400                | 22,400                |
| Revaluation reserve              | 15,802                | 15,802                | 15,802                | 15,802                | 15,802                |
| Revenue reserves                 | 25,929                | 47,413                | 84,134                | 142,453               | 227,577               |
| Total Shareholders' Funds        | <u>87,731</u>         | <u>109,215</u>        | <u>145,936</u>        | <u>204,255</u>        | <u>289,379</u>        |
| Long term liabilities            | 56,469                | 46,469                | 36,469                | 26,469                | 16,469                |
| <b>Total capital employed</b>    | <b><u>144,200</u></b> | <b><u>155,684</u></b> | <b><u>182,405</u></b> | <b><u>230,724</u></b> | <b><u>305,848</u></b> |

### 8.2.3. Projected Cash flow Statement:

Table 22: Projected Cash flow Statement

| YEAR                                                           | 2016-17 F            | 2017-18 F            | 2018-19 F            | 2019-20 F            | 2020 -21 F           |
|----------------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
| Profit before tax                                              | 14,143               | 30,714               | 52,484               | 83,340               | 121,634              |
| Add back: Depreciation                                         | 7,266                | 8,279                | 9,142                | 9,882                | 10,518               |
| <b><u>Changes in working capital</u></b>                       |                      |                      |                      |                      |                      |
| Increase/(Decrease) in Creditors                               | (5,562)              | 4,412                | 5,351                | 6,455                | 7,749                |
| (Increase)/Decrease in Debtors                                 | 24,566               | -                    | -                    | -                    | -                    |
| (Increase)/Decrease in inventories                             | 21,990               | (26,471)             | (32,105)             | (38,728)             | (46,497)             |
| Tax paid                                                       | (6,151)              | (9,230)              | (15,763)             | (25,021)             | (36,510)             |
| Net cash from operating activities                             | <u>56,251</u>        | <u>7,704</u>         | <u>19,109</u>        | <u>35,928</u>        | <u>56,895</u>        |
| <b><u>Investing activities</u></b>                             |                      |                      |                      |                      |                      |
| Additional PPE                                                 | (7,400)              | (14,800)             | (14,800)             | (14,800)             | (14,800)             |
| Net cash from/(on) investing activities                        | <u>(7,400)</u>       | <u>(14,800)</u>      | <u>(14,800)</u>      | <u>(14,800)</u>      | <u>(14,800)</u>      |
| <b><u>Financing activities</u></b>                             |                      |                      |                      |                      |                      |
| Long term loan repayments                                      | (10,000)             | (10,000)             | (10,000)             | (10,000)             | (10,000)             |
| Increase in share premium                                      | 22,400               | -                    | -                    | -                    | -                    |
| Increase in Share Capital                                      | 5,600                | -                    | -                    | -                    | -                    |
| Net cash from/(on) financing activities                        | <u>18,000</u>        | <u>(10,000)</u>      | <u>(10,000)</u>      | <u>(10,000)</u>      | <u>(10,000)</u>      |
| <b>Changes in cash and cash equivalents</b>                    | <b>66,851</b>        | <b>(17,096)</b>      | <b>(5,691)</b>       | <b>11,128</b>        | <b>32,095</b>        |
| <b>Cash and cash equivalents at the beginning of the year</b>  | <b>(20,887)</b>      | <b>45,964</b>        | <b>28,869</b>        | <b>23,178</b>        | <b>34,306</b>        |
| <b><u>Cash and cash equivalents at the end of the year</u></b> | <b><u>45,964</u></b> | <b><u>28,869</u></b> | <b><u>23,178</u></b> | <b><u>34,306</u></b> | <b><u>66,401</u></b> |

## 8.2.4. Projected Ratios:

Table 23: Projected Key Performance Ratios

| KEY RATIOS    | 2016-17 F | 2017-18 F | 2018-19 F | 2019-20 F | 2020 -21 F |
|---------------|-----------|-----------|-----------|-----------|------------|
| GP Margin     | 55%       | 55%       | 55%       | 55%       | 55%        |
| NP Margin     | 7.47%     | 11.24%    | 13.99%    | 16.73%    | 18.84%     |
| ROE           | 11.27%    | 19.67%    | 25.16%    | 28.55%    | 29.42%     |
| ROA           | 6.42%     | 12.63%    | 18.17%    | 22.70%    | 25.06%     |
| Current Ratio | 10.63     | 8.01      | 7.18      | 7.31      | 7.96       |
| Quick Ratio   | 4.63      | 2.01      | 1.17      | 1.31      | 1.96       |

## 8.2.5. Financial Assumptions:

Table 24: Financials Assumptions

| YEAR                                              | 2016-17 F | 2017-18 F | 2018-19 F | 2019-20 F | 2020 -21 F |
|---------------------------------------------------|-----------|-----------|-----------|-----------|------------|
| No. of retail outlets                             | 7         | 9         | 11        | 13        | 15         |
| Average number of pairs sold per month            | 750       | 795       | 843       | 893       | 947        |
| Average price of a pair                           | 2,000     | 2,120     | 2,247     | 2,382     | 2,525      |
| No of months                                      | 12        | 12        | 12        | 12        | 12         |
| Direct cost of sales as percentage of total sales | 45%       | 45%       | 45%       | 45%       | 45%        |
| Finance costs for long term loan                  | 18%       | 18%       | 18%       | 18%       | 18%        |
| Finance costs for overdraft                       | 18%       | 18%       | 18%       | 18%       | 18%        |
| Corporate tax rate                                | 30%       | 30%       | 30%       | 30%       | 30%        |
| Inflation Rate                                    | 6%        | 6%        | 6%        | 6%        | 6%         |
| Additional outlets per year                       | 1         | 2         | 2         | 2         | 2          |
| Inventory days                                    | 360       | 360       | 360       | 360       | 360        |
| Creditor days                                     | 60        | 60        | 60        | 60        | 60         |

The above assumptions have been arrived at by NBV management in consultation with the nominated advisor. The projections have been made after deliberations with the directors and are also informed and guided by the planned adoption of an aggressive marketing strategy. Below we provide a brief explanation of the assumptions.

- NBV management are of the view that the average price per item will remain at above Kes 2,000 over the projected period. The average price is however expected to change annually to reflect inflation.
- The projections assume a conservative 750 items on average will be sold per shop every month. This is based on past experience where an average of 30 items are sold per shop in a day. On peak days, and in particular weekends and holidays, an average of 50 items are sold per shop. Annual growth of 10% has been assumed on the sales volume.
- The Company's gross margin is projected at 55% of revenue for the next five years. The gross margin has been well over 55% in the last two years.
- The Company projects to increase the number of retail outlets initially by opening 2 additional outlets before end of 2016. This expansion will be funded through funding received from the private placement. Expansion between 2017 and 2020 will be funded by capitalization of retained earnings. It is projected that 2 new outlets will be rolled out in every financial year between 2017 and 2021.

- The Company moves stocks between outlets as market trends change during the year. Each outlet targets a different market segment and management is able to monitor the market trends and move stock accordingly. This strategy ensures faster movement of stock.
- The projections also take into account the capital injection from the private placement. The proceeds from the private placement will be used mainly to fund the opening of new outlets. All outlets opened in the past three year have achieved break-even within the first year of operation due to the fact that the business is highly retail and sales are almost entirely on a cash basis. The business is able to convert all capital injection into revenue generation within three months (average time taken to fully establish a new outlet). The new outlets provide an immediate boost to revenue and ultimately profits as reflected in the projections. This informs the projected growth in profit after tax from Kes 4.42 million in March 2016 to Kes 6.16 million in March 2017.
- With the increase in number of retail outlets, it is projected that operational costs will also increase. However, NBV management will maintain a “lean at the top” structure which will help manage administration expenses and in particular salary expenses. This business model allows the Company to increase the number of outlets without having as much increment in operation costs since there are no additional costs at the head office.
- We have assumed an annual average inflation rate of 6% in Kenya for the next five years. This is based on recent trends and the measures put in place to curb inflation in the country.
- Marketing costs are estimated to increase at 10% per annum while interest rates applicable on borrowed funds are estimated at 19% per annum.
- The sales earnings from corporate gifts are projected at 5% of the leather items earnings.
- Depreciation and Amortization rates as per the accounting policy are as follows:

**Table 25: Depreciation and Amortization Rates**

| <b>Depreciation &amp; Amortization Rates</b> |       |
|----------------------------------------------|-------|
| <b>Software</b>                              | 20.0% |
| <b>Furniture and fittings</b>                | 12.5% |
| <b>Computers and office equipment</b>        | 33.0% |

- Proposed Dividends – NBV management will retain all earnings in the near future to fund expansion. The board may however declare dividends from time to time depending on the Company’s financial performance.

## 9. RISK FACTORS

Prospective investors should read the entire Information Memorandum (including any documents available for inspection) and reach their own views prior to making any investment decision. Potential investors should ensure that they fully understand all of the risks relating to the investment and should accordingly seek independent financial advice.

### Availability of Quality Retail Space

There is high demand for quality retail space in the country. There are several retail commercial properties coming into the market and NBV expects the increase in retail space to attract major foreign brands who are eyeing the growing middle class in Kenya. NBV management continue to invest in good public relations, brand awareness and good performance to enable the Company acquire prime retail space in spite of the increased competition.

### Increased Competition

With the increased realization of the demand for leather shoes and accessories in Kenya, competition in the sector continues to grow as is evidenced by the notable aggressive expansion of by shoe retailers in Kenya and entry of international brands such as Clarks. Improvement in the purchasing power of Kenyans coupled with the growth of the middle class is expected to continue attracting new products and/or entrants. In addition to investing in significantly in marketing and offering genuine leather products to their target market, NBV management has also put in place other measures that will position the Company to take up considerable market share.

### Reputation Risk

Reputation Risk is the potential that negative publicity regarding an institution's business practices, whether true or false, will cause a decline in the customer base or revenue reductions. This risk may result from an institution's failure to effectively manage any or all of the other risk types. The ultimate accountability for reputational risk management lies with the Board. The Company's Board of Directors will aim to first manage and prevent other risks and put in place control and mitigation measures to avoid reputational risk in case of occurrence of any of the other risks.

The overall responsibility for the day to day risk management lies with the Board. The Board will ensure at all times that all possible risks are identified and control measures put in place. The Board Risk committee will assist the Board in reviewing the risk policy from time to time and making necessary changes.

### Operation Risk

This refers to risks of direct or indirect impacts resulting from human factors, inadequate and failed internal processes and systems or external events. To mitigate against these, all decisions relating to the Company's investments and growth and expansion shall continue being based on a thorough and comprehensive due diligence covering financial, business and legal environment to ensure that NBV management validates the assumptions and is well versed with the risks inherent any such decision or investment.

### Economic Changes

This is an inherent risk for any business in any environment and NBV management will mitigated this by closely observing economic trends and analysing economic projections so as to cushion the business from effects of any adverse economic changes or occurrences.

### Political Risk

Potential political unrest is a risk to the operations of any business operating in Kenya, including NBV, as it could adversely impact the economy and the purchasing power of NBV customers in the affected areas therefore negatively impact on the strategy of the business and result in failure to achieve goals and objectives. While organizations in Kenya may have

systems, controls and procedures designed to mitigate political risk, there can be no assurance that any adverse political events will not have a negative impact on their business.

NBV believes with the exception of the 2007/2008 post-election violence when the country experience unrest following disputed elections, the democratic process prevailing in Kenya and the support from the international communities reduces the risk of significant political unrest. NBV however maintains an apolitical stance with regards to the political activities and shall continue to align strategy to the prevailing environment while closely watching political developments so as to identify appropriate strategies to adopt.

#### **9.1. RESPONSIBILITY FOR RISK MANAGEMENT**

The overall responsibility for the day to day risk management lies with the Board. The Board will ensure at all times that all possible risks are identified and control measures put in place to mitigate these risks.

#### **9.2. RISK FACTORS RELATING TO THIS LISTING**

Management in consultation with the Transaction Advisors and Sponsoring brokers have determined the listing price for the shares but is not in a position to predict whether investor interest in the Company after listing will lead to the development of an active trading market on the NSE, or how liquid and vibrant the GEMS market might be. The listing price may not be indicative of prices that will prevail in the open market following this listing. Investors should evaluate the investment and carefully make an independent judgment on whether investment in the Company is suitable for them in light of the risk factors outlined above.

## **10. STATUTORY AND GENERAL INFORMATION**

### **10.1. GENERAL INFORMATION**

#### **10.1.1. Principal Objects**

Nairobi Business Ventures Limited (“Nairobi Business Ventures”, “NBV”, “the Issuer”, or “the Company”) was incorporated in Kenya in March 2012 as a private limited liability company under the Companies Act with registration number CPR/2010/68371. On 15th April 2014, NBV was converted into a public company by the amendment of its Articles through a special resolution.

The principal activities of the NBV are that of dealing in footwear and leather accessories.

### **10.2. OTHER IMPORTANT INFORMATION**

#### **10.2.1. Capital Changes in the last five (5) years**

Nairobi Business Ventures was incorporated in Kenya in March 2012 with a share capital of Kes 100,000 divided into 1,000 shares of Kes 100 each. The Company’s paid up capital was increased in 2014 to Kes 10,000,000 divided into 100,000 shares of Kes 100 each. The Company’s shareholders resolved in a general meeting held on 15th April 2014 to split the shares in the ratio of 1:100. The 100,000 shares of Kes 100 each were split into 10,000,000 shares of Kes 1 each. The shareholders also resolved to increase the Company’s authorized share capital from Kes 10,000,000 to Kes 50,000,000 divided into 50,000,000 shares of Kes 1 each, all of which 18,000,000 are issued and fully paid up. The number of shareholders increased in 2014 from 3 to 7. The private placement exercise concluded in May 2016 brought the total number of issued shares to 23,600,000 and the total number of shareholders to 33.

#### **10.2.2. The Company Subsidiaries**

NBV does not wholly or partly own any subsidiaries or have any associates.

#### **10.2.3. Properties**

The Company has either leased or rented all their retail outlets and offices and does not own any premises. The value of Property and Equipment in the balance sheet refers to furniture and fittings in the offices and retail outlets as well as goodwill and rental/lease prepayments on rented/leased premises.

#### **10.2.4. Insurance**

The operations of the Company are currently insured as required and all insurance obligations have been met. Insurance contracts have been entered into with reputable insurance firms.

#### **10.2.5. Material Contracts**

The Company has different suppliers for their products and no supplier currently accounts for more than 15% of the total cost of sales. NBV is largely a retailer hence there are no customers who individually account for a significant portion of the sales.

#### **10.2.6. Material Borrowings**

The Company has existing bank facilities with one licensed commercial bank in Kenya for a total sum not exceeding Kes 45,000,000 secured by way of debenture. The borrowing powers of the Company have not been exceeded.

### **10.3. RELATED PARTY TRANSACTIONS**

The Company has not had any intercompany finance relationships or loan arrangements with its related entities or those that have common ownership or control.

### **10.4. LITIGATION/DISPUTES**

The Company and its directors do not have any ongoing disputes with any external or internal party or entity. There are no expected litigations or disputes in the foreseeable future.

### **10.5. DOCUMENTS FOR INSPECTION**

Copies of the following key documents will be available for inspection at CBA Capital offices until after the listing date:

- a) This Listing Statement;
- b) The Issuer's Memorandum and Articles of Association;
- c) The Certificate of Incorporation;
- d) The Board of Directors Resolution approving the Listing;
- e) All material contracts;
- f) The Shareholders Resolution approving the Listing;
- g) The audited annual reports for the financial years 2012/2014;
- h) The executive directors service contracts;
- i) Copies of service agreements with managers or secretary/ies, underwriting, vendors' and promoters' agreements entered into during the last two (2) financial years;
- j) The latest certified appraisals or valuations relative to movable and immovable property and items of a similar nature, if applicable
- k) All Expert reports, letters, and other documents, balance sheets, valuations and statements expert any part of which are included or referred to in this Listing Statement; and
- l) Written statements signed by the auditors or accountants setting out the adjustments made by them (and giving reasons) in arriving at the figures shown in the Accountants' Report.

## 11. DIRECTORS' STATEMENT

We the Board of Directors of Nairobi Business Ventures Limited, hereby declare that to the best of our knowledge, information and belief (having taken all reasonable care to ensure that such is the case) all information contained in this Listing Statement and the statements contained in the reports herein are correct, and neither the Board of Directors' minutes, audit reports nor any other internal documents contain information, which could distort the interpretation of the report or affect the import of such information.

As Board of Directors of the Company, we confirm that in our opinion, the working capital available to the Company is sufficient for its present requirements and for the next twelve months following the listing. The Company will continue to hold sufficient working capital to meet all short term financial obligations.

There have been no audited or interim financial statements of the Issuer that have been published subsequent to those of 31<sup>st</sup> March 2016 to the date of this Listing Statement. The Directors of the Issuer are not aware of any significant changes in the financial or trading position of the Issuer that has occurred since the period ended 31<sup>st</sup> March 2016.

The issued capital of the Company is adequate for the purposes of the Company for the foreseeable future.

Sign: \_\_\_\_\_

**Alfred Nzomo Kithusi**

Non-Executive Chairman

Sign: \_\_\_\_\_

**Abotula Venkata Satyanarayana Vasu**

Executive

Sign: \_\_\_\_\_

**Srungarapu Rajasekhar**

Executive

Sign: \_\_\_\_\_

**Simon Saili Malonza**

Non-Executive

Sign: \_\_\_\_\_

**Jayesh Himatlal Nagrecha**

Non-Executive

## **12. APPENDICES**

**Appendix 1: Legal Report**

**Appendix 2: Reporting Accountant's Report**